# Balance Sheet

as at December 31, 2025

| Particulars | Note No. | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Assets** | | | |
| **Non-current assets** | | | |
| Property, Plant and Equipment | 3 | 259.85 | 224.17 |
| Right-of-use asset | 23 | 72.85 | 92.95 |
| Capital work-in-progress | 3 | 72.07 | 60.26 |
| Other intangible assets | 3 | 0.90 | 1.52 |
| Financial assets | | | |
| Investments | 4.6 | 442.80 | 487.50 |
| Loans | 4.1 | 0.66 | 0.95 |
| Other financial assets | 4.2 | 9.28 | 9.44 |
| Income tax assets (net) | 5 | 24.93 | 27.98 |
| Deferred tax assets (net) | 6 | 95.64 | 85.03 |
| Other non-current assets | 7 | 71.19 | 82.69 |
| **Total Non-current assets** | | **1,050.17** | **1,072.49** |
| **Current assets** | | | |
| Inventories | 8 | 546.34 | 524.21 |
| Financial assets | | | |
| Trade receivables | 4.3 | 473.21 | 437.69 |
| Cash and cash equivalents | 4.4 | 426.62 | 452.87 |
| Bank balances other than above | 4.5 | 714.37 | 946.10 |
| Loans | 4.1 | 0.52 | 0.52 |
| Other financial assets | 4.2 | 41.85 | 56.89 |
| Other current assets | 7 | 141.77 | 144.52 |
| **Total Current assets** | | **2,344.68** | **2,562.80** |
| **Total assets** | | **3,394.85** | **3,635.29** |
| **Equity and liabilities** | | | |
| **Equity** | | | |
| Equity share capital | 9 | 494.56 | 494.56 |
| Other equity | 10 | 1,405.74 | 1,783.81 |
| **Total equity** | | **1,900.30** | **2,278.37** |
| **Liabilities** | | | |
| **Non-current liabilities** | | | |
| Financial liabilities | | | |
| Lease liabilities | 23 | 41.54 | 61.98 |
| Provisions | 12 | 44.78 | 24.71 |
| **Total Non-current liabilities** | | **86.32** | **86.69** |
| **Current liabilities** | | | |
| Financial liabilities | | | |
| Lease liabilities | 23 | 21.27 | 20.04 |
| Trade payables | | | |
| Total outstanding dues of micro enterprises and small enterprises | 11.1 | 9.32 | 18.29 |
| Total outstanding dues of creditors other than micro enterprises and small enterprises | 11.1 | 776.73 | 685.36 |
| Other financial liabilities | 11.2 | 497.87 | 438.94 |
| Other current liabilities | 14 | 60.22 | 58.87 |
| Provisions | 12 | 35.45 | 34.03 |
| Current tax liabilities (net) | 13 | 7.37 | 14.70 |
| **Total Current liabilities** | | **1,408.23** | **1,270.23** |
| **Total equity and liabilities** | | **3,394.85** | **3,635.29** |
| Summary of material accounting policies | 2 | | |

The accompanying notes 1 - 37 are an integral part of the financial statements.

As per our report even date attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
Firm's Registration No. 117366W/W-100018

**Sampada S Narvankar**
Partner
Membership No. 102911

**Place:** Mumbai
**Date:** February 3, 2026

For and on behalf of Board of Directors

| | | | |
|---|---|---|---|
| **Rakesh Makhija** | DIN : 00117692 | Chairman | |
| **Saugata Basuray** | DIN : 09522239 | Whole time Director & Interim Chief Executive Officer | |
| **Hemangi Ghag** | FCS No : 9329 | Company Secretary | |
| **Mrinalini Srinivasan** | DIN : 09682234 | Chief Financial Officer & Whole time Director | |



# Statement of Profit and Loss

for the year ended December 31, 2025

| Particulars | Note No. | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Income** | | | |
| Revenue from operations | 15 | 5,721.50 | 5,364.85 |
| Other income | 16 | 67.43 | 88.61 |
| **Total Income** | | **5,788.93** | **5,453.46** |
| **Expenses** | | | |
| Cost of raw and packing materials consumed | 17.1 | 2,655.61 | 2,505.62 |
| Purchase of traded goods | 17.2 | 254.06 | 236.55 |
| Changes in inventories of finished goods / traded goods | 17.3 | 9.74 | (14.34) |
| Employee benefits expense | 18 | 296.20 | 312.80 |
| Finance costs | 19 | 9.29 | 9.38 |
| Depreciation and amortization expense | 20 | 100.82 | 99.77 |
| Other expenses | 21 | 1,158.37 | 1,046.07 |
| **Total Expenses** | | **4,484.09** | **4,195.85** |
| **Profit before exceptional item and tax** | | **1,304.84** | **1,257.61** |
| Exceptional item | 34 | (22.53) | - |
| **Profit Before Tax** | | **1,282.31** | **1,257.61** |
| **Tax expenses** | | | |
| Current tax (including charge of earlier years - ₹ 1.19 Crore) (December 31, 2024 : ₹ 0.86 Crore) | 6 | 343.08 | 336.87 |
| Deferred tax | 6 | (10.70) | (6.49) |
| **Total tax expenses** | | **332.38** | **330.38** |
| **Profit for the year** | | **949.93** | **927.23** |
| **Other comprehensive income** | | | |
| **Items that will not be reclassified subsequently to profit or loss** | | | |
| Fair value loss on investments in equity instruments through OCI | | (44.70) | - |
| Re-measurement gains/(losses) on defined benefit plans | | 0.35 | (1.74) |
| Income tax effect on defined benefit plans | 6 | (0.09) | 0.44 |
| **Other comprehensive income for the year** | | **(44.44)** | **(1.30)** |
| **Total comprehensive income for the year** | | **905.49** | **925.93** |
| Earnings per equity share - Basic and Diluted - Face Value ₹ 5.00 each (In ₹ per share) | 22 | 9.60 | 9.37 |
| Summary of material accounting policies | 2 | | |

The accompanying notes 1 - 37 are an integral part of the financial statements.

As per our report even date attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
Firm's Registration No. 117366W/W-100018

**Sampada S Narvankar**
Partner
Membership No. 102911

**Place:** Mumbai
**Date:** February 3, 2026

For and on behalf of Board of Directors

| | | | |
|---|---|---|---|
| **Rakesh Makhija** | DIN : 00117692 | Chairman | |
| **Saugata Basuray** | DIN : 09522239 | Whole time Director & Interim Chief Executive Officer | |
| **Hemangi Ghag** | FCS No : 9329 | Company Secretary | |
| **Mrinalini Srinivasan** | DIN : 09682234 | Chief Financial Officer & Whole time Director | |

# Statement of Changes in Equity

for the year ended December 31, 2025

## (a) Equity share capital

₹ in Crore

| Particulars | No. of shares | Amount |
|---|---|---|
| **Balance as at January 01, 2024** | **989,122,384** | **494.56** |
| Changes in equity share capital during the year | - | - |
| **Balance as at December 31, 2024** | **989,122,384** | **494.56** |
| Changes in equity share capital during the year | - | - |
| **Balance as at December 31, 2025** | **989,122,384** | **494.56** |

## (b) Other equity

₹ in Crore

| Particulars | Reserves & Surplus | | | Items of Other Comprehensive Income | Total Other Equity |
|---|---|---|---|---|---|
| | Capital Reserve | Retained Earnings | Share based payment | FVTOCI Equity Instruments | |
| **Balance as at January 01, 2024** | **13.62** | **1,534.56** | **78.95** | **-** | **1,627.13** |
| Profit for the year | - | 927.23 | - | - | 927.23 |
| Other comprehensive income, net of tax | - | (1.30) | - | - | (1.30) |
| **Total comprehensive income for the year** | **-** | **925.93** | **-** | **-** | **925.93** |
| Recognition of share based payment | - | - | 22.05 | - | 22.05 |
| Payment of dividend | - | (791.30) | - | - | (791.30) |
| **Balance as at December 31, 2024** | **13.62** | **1,669.19** | **101.00** | **-** | **1,783.81** |
| Profit for the year | - | 949.93 | - | - | 949.93 |
| Other comprehensive income, net of tax | - | 0.26 | - | (44.70) | (44.44) |
| **Total comprehensive income for the year** | **-** | **950.19** | **-** | **(44.70)** | **905.49** |
| Recognition of share based payment | - | - | 2.30 | - | 2.30 |
| Payment of dividend | - | (1,285.86) | - | - | (1,285.86) |
| **Balance as at December 31, 2025** | **13.62** | **1,333.52** | **103.30** | **(44.70)** | **1,405.74** |

The accompanying notes 1 - 37 are an integral part of the financial statements.

As per our report even date attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
Firm's Registration No. 117366W/W-100018

**Sampada S Narvankar**
Partner
Membership No. 102911

**Place:** Mumbai
**Date:** February 3, 2026

For and on behalf of Board of Directors

| | | |
|---|---|---|
| **Rakesh Makhija**<br>DIN : 00117692 | Chairman | |
| **Saugata Basuray**<br>DIN : 09522239 | Whole time Director & Interim Chief Executive Officer | |
| **Hemangi Ghag**<br>FCS No : 9329 | Company Secretary | |
| **Mrinalini Srinivasan**<br>DIN : 09682234 | Chief Financial Officer & Whole time Director | |



# Cash Flow Statement

for the year ended December 31, 2025

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Cash flow from operating activities** | | |
| **Profit before tax** | **1,282.31** | **1,257.61** |
| Adjustments for: | | |
| Depreciation and amortization expense | 100.82 | 99.77 |
| (Profit) / Loss on disposal/write off of Property, Plant and Equipment and intangible assets (net) | (1.77) | 0.25 |
| Capital work in progress write off | - | 0.64 |
| Allowance for doubtful debts (net) | 1.87 | 1.38 |
| Expense recognised in respect of share based payments | 2.30 | 22.05 |
| Loss / (Profit) on fair valuation of forward contract | 0.35 | (0.38) |
| Unrealized foreign exchange loss (net) | 0.25 | 0.93 |
| Unrealized gain on overnight funds | (0.18) | (1.58) |
| Finance costs | 9.29 | 9.38 |
| Interest income | (49.18) | (68.21) |
| Excess accruals written back | (0.72) | (0.52) |
| **Cash flow generated from operations before working capital changes** | **1,345.34** | **1,321.32** |
| Movements in working capital: | | |
| (Increase) / Decrease in inventories | (22.13) | 8.71 |
| Decrease / (Increase) in other receivables | 19.03 | (8.35) |
| (Increase) / Decrease in trade receivables | (37.39) | (16.25) |
| Increase / (Decrease) in trade and other payables and provisions | 132.79 | 52.74 |
| **Cash flow generated from operations** | **1,437.64** | **1,358.17** |
| Income tax paid (net of refund) | (347.50) | (314.07) |
| **Net cash flow generated from operating activities (A)** | **1,090.14** | **1,044.10** |
| **Cash flow from investing activities** | | |
| Purchase of Property, Plant and Equipment (including capital work-in-progress and intangible assets) | (97.33) | (92.70) |
| Proceeds from sale of Property, Plant and Equipment | 3.08 | - |
| Placement of bank deposits | (796.51) | (1,489.98) |
| Proceeds from maturity of bank deposits | 1,030.00 | 1,249.98 |
| Interest received | 59.02 | 66.43 |
| Loan to employees (net) | 0.29 | (0.62) |
| **Net cash flow generated from / (used) in investing activities (B)** | **198.55** | **(266.89)** |

# Cash Flow Statement (Contd.)

for the year ended December 31, 2025

| Particulars | | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Cash flow from financing activities** | | | |
| Dividend paid | | (1,285.86) | (791.30) |
| Interest paid on other than lease liabilities | | (2.97) | (1.89) |
| Principal payment of lease liabilities | | (20.18) | (19.26) |
| Interest paid on lease liabilities | | (6.11) | (6.68) |
| **Net cash flow used in financing activities** | **(C)** | **(1,315.12)** | **(819.13)** |
| **Net decrease in cash and cash equivalents** | **(A+B+C)** | **(26.43)** | **(41.92)** |
| Add: unrealized gain on overnight funds | | 0.18 | 1.58 |
| Cash and cash equivalents at the beginning of the year | | 452.87 | 493.21 |
| **Cash and cash equivalents at the end of the year** | | 426.62 | 452.87 |
| **Components of cash and cash equivalents** | | | |
| Balances with banks in current accounts | | 11.34 | 11.28 |
| Deposits with banks | | 195.10 | 220.01 |
| Overnight funds | | 220.18 | 221.58 |
| **Total cash and cash equivalents (note 4.4)** | | **426.62** | **452.87** |

**Non cash transactions:**

**Share value plan:**

Equity settled share based payments of ₹ 2.30 Crore (Previous Year: ₹ 22.05 Crore) is expensed over the vesting period with a corresponding adjustment to other equity as the cost of such share value plan is borne by the ultimate holding Company [refer note 2.5 (d)]

**Note:**

(a) The above cash flow statement has been prepared under the "indirect method" as set out in Ind AS 7, 'statement of cash flows'

The accompanying notes 1 - 37 are an integral part of the financial statements.

As per our report even date attached
For **Deloitte Haskins & Sells LLP**
Chartered Accountants
Firm's Registration No. 117366W/W-100018

For and on behalf of Board of Directors

**Rakesh Makhija** — DIN : 00117692 — Chairman

**Saugata Basuray** — DIN : 09522239 — Whole time Director & Interim Chief Executive Officer

**Sampada S Narvankar**
Partner
Membership No. 102911

**Hemangi Ghag** — FCS No : 9329 — Company Secretary

**Mrinalini Srinivasan** — DIN : 09682234 — Chief Financial Officer & Whole time Director

**Place:** Mumbai
**Date:** February 3, 2026



# Notes to the Financial Statements

for the year ended December 31, 2025

## 1. Corporate information

Castrol India Limited (the 'Company') having CIN L23200MH1979PLC021359 is a public limited Company incorporated in India with its registered office at Technopolis Knowledge Park, Mahakali Caves Road, Chakala, Andheri (East), Mumbai–400 093. The equity shares of the Company are listed on two recognised stock exchanges in India. The Company is principally engaged in the business of manufacturing & marketing of automotive and industrial lubricants and related services.

## 2. Material accounting policies

### 2.1. Basis of preparation

The Statement of Compliance with Indian Accounting Standards (Ind AS): The financial statements have been prepared in accordance with Ind AS notified under the Companies (Indian Accounting Standards) Rules, 2015 as amended and notified under Section 133 of the Companies Act, 2013 ("the Act") and other relevant provisions of the Act and other accounting principles generally accepted in India.

**Basis of measurement**

These financial statements have been prepared on the historical cost basis except for certain financial instruments that are measured at fair values at the end of each reporting period, as explained in the accounting policies below.

Historical Cost: Assets are recorded at the amount of cash or cash equivalents paid or the fair value of the other consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation, or in some circumstances (for example, income taxes), at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

### 2.2. Use of estimates and judgements

The preparation of financial statements requires management to make judgments, estimates and assumptions in the application of accounting policies that affect the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates. Continuous evaluation is done on the estimation and judgments based on historical experience and other factors, including expectations of future events that are believed to be reasonable. Revisions to accounting estimates are recognised prospectively.

### 2.3. Critical accounting estimates, judgments and assumptions

**A. Useful lives and residual values of Property, Plant and Equipment**

Property, Plant and Equipment represent a material portion of the Company's asset base. The periodic charge of depreciation is derived after estimating useful life of an asset and expected residual value at the end of its useful life. The useful lives and residual values of assets are estimated by the management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on various external and internal factors including historical experience, relative efficiency and operating costs and change in technology.

**B. Income taxes**

The Company's tax jurisdiction is India. Significant judgments are involved in determining the provision for income taxes including amounts to be recovered or paid for uncertain tax positions. Management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits.

**C. Defined benefit obligations**

Defined benefit obligations are measured at fair value for financial reporting purposes. Fair value determined by actuary is based on actuarial assumptions. Management judgement is required to determine such actuarial assumptions. Such assumptions are reviewed annually using the best information available with the management.

**D. Contingencies**

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Company. Management judgment is required to determine the potential liabilities that are possible or remote but not probable of crystalizing or cannot be measured with sufficient reliability. Such liabilities are disclosed in the notes as contingent liabilities, unless the possibility of an outflow of resources embodying economic benefits is remote in management's judgment.

# Notes to the Financial Statements

for the year ended December 31, 2025

**E. Fair Value Measurement**

For estimates relating to fair value of financial instruments Refer Note 30 of financial statements.

**2.4. Recent accounting pronouncements**

**Standards notified but not yet effective**

The amendments to the standards that are notified by the Ministry of Corporate Affairs (MCA), but not yet effective, up to the date of issuance of the Company's financial statements are disclosed below. The below amendments are effective for annual reporting periods beginning on or after 1 April 2025/2026. However, these amendments are not expected to have a material impact on the Company's financial statements.

**(i)** Ind AS 21 - The Effects of Changes in Foreign Exchange Rate - Provides guidance to specify when a currency is exchangeable and how to determine the exchange rate when it is not exchangeable and requirement of additional disclosures for the same.

**(ii)** Ind AS 1 - Presentation of Financial Statements - specify the requirements for classifying liabilities as current or non-current and additional disclosure requirements regarding loan agreement.

**(iii)** Ind AS 7- Statement of Cash Flows and Ind AS 107 Financial Instruments - Clarification on the characteristics of supplier finance arrangements and disclosure requirements of such arrangements.

**(iv)** Ind AS 12 - Income Taxes - New paras added for applicability of income tax arising from implementation of Pillar Two model rules and certain related disclosures.

**(v)** Certain minor clarificatory amendments have been made to Ind AS 101, IND AS 108, IND AS 109, IND AS 115, IND AS 10, IND AS 28 and IND AS 32.

**2.5. Summary of material accounting policies**

**a. Current versus non-current classification**

An asset is treated as current when it is:

- Expected to be realised or intended to be sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

**b. Revenue recognition**

**Revenue**

Revenue from contracts with customers is recognised on transfer of control of promised goods or services to a customer at an amount that reflects the consideration to which the Company is expected to be entitled to in exchange for those goods or services.

Revenue towards satisfaction of a performance obligation is measured at the amount of transaction price (net of variable consideration) allocated to that performance obligation. The transaction price of goods sold, and services rendered is net of variable consideration on account of various discounts and schemes offered by the Company as part of the contract. This variable consideration is estimated based on the expected value of outflow. Revenue (net of variable consideration) is recognised only to the extent that it is highly probable that the amount will not be subject to significant reversal when uncertainty relating to its recognition is resolved.

**Sale of products**

Revenue from sale of products is recognized when the control on the goods have been transferred to the customer. The performance obligation in case of sale of product is satisfied at a point in time i.e., when the material is shipped to the customer or on delivery to the customer, as may be specified in the contract.

**Income from services**

Revenue from services is recognized over time by measuring progress towards satisfaction of performance obligation for the services rendered. The Company uses input method for measurement of revenue from services as it is directly linked to the expenses incurred by the Company.

**Interest income**

Interest income is recorded using the effective interest rate (EIR) for debt instruments carried at amortized cost. EIR is the rate that exactly discounts the estimated future cash receipts over the expected life of the financial instrument to the gross carrying amount of the financial asset.

**c. Foreign currencies**

**Functional currency**

The functional currency of the Company is the Indian rupee. These financial statements are presented in Indian rupees (rounded off to Crore).

**Transactions and balances**

Foreign currency transactions are recorded in the functional currency by applying to the foreign currency amount the exchange rate between the functional currency and the foreign currency at the date of the transaction. All foreign currency monetary assets and monetary liabilities as at the balance sheet date are translated into the functional currency at the applicable exchange rates prevailing on that date. All exchange differences arising on translation, are recognised in the statement of profit and loss. Non-monetary assets and non-monetary liabilities denominated in foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of the transaction.

Gain or losses upon settlement of foreign currency transactions are recognized in the statement of profit and loss for the period in which the transaction is settled.

**d. Retirement and other employee benefits**

**Gratuity**

The Company provides for gratuity, a defined benefit retirement plan ('the Gratuity Plan') covering eligible employees. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on respective employee's salary and tenure of employment with the Company.

Liabilities with regard to gratuity plan are determined by actuarial valuation, performed by an independent actuary, at each balance sheet date using projected unit credit method. The Company fully contributes all ascertained liabilities to the Castrol India Limited Employees' Gratuity Fund Trust ('the Trust'). Trustees administer contributions made to the Trusts and contributions are invested in insurance and deposit schemes.

The Company recognises the net obligation of a defined benefit plan in its balance sheet as an asset or liability. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows with reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligation. Net interest on the net defined benefit liability/(asset)

# Notes to the Financial Statements

for the year ended December 31, 2025

is the change during the period in the net defined benefit liability/(asset) that arises from the passage of time.

The net interest cost is calculated applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in the employee benefit expenses in the statement of profit and loss.

Gains and losses through remeasurements of the net defined benefit liability/(asset) are recognized immediately in balance sheet with corresponding debit or credit to other comprehensive income. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognised in other comprehensive income. They are included in retained earnings in the statement of changes in equity and in the balance sheet. Remeasurements of the net defined benefit liability/(asset) recognised in other comprehensive income are not reclassified to statement of profit and loss in a subsequent period. The effect of any plan amendments is recognised in net profit in the statement of profit and loss.

**Superannuation**

Certain employees of the Company are participants in a defined contribution plan. The Company has no further obligations to the plan beyond its monthly contributions which are periodically contributed to the Castrol India Limited Staff Pension Fund, the corpus of which is invested with the Life Insurance Corporation of India, HDFC Life Insurance Co. Ltd and Bajaj Allianz Life Insurance Co. Ltd. The Company's contribution paid/payable during the year to superannuation fund is recognised in the statement of profit and loss.

**Provident fund**

Eligible employees of the Company receive benefits from a Provident fund, which is defined benefit plan. Both the eligible employees and the Company make monthly contributions to the provident fund equal to a specified percentage of the covered employee's salary. The Company contributes a portion to the Castrol India Limited Employees' Provident Fund Trust ('The PF trust'). The PF trust invests in specific designated instruments as permitted by Indian Law. The rate at which the annual interest is payable to the beneficiaries by the PF trust is being administrated by the Government. The Company has an obligation to make good the shortfall, if any, between the return from the investments of the PF trust and the notified interest rate. The Company's contribution paid/payable during the year to provident fund is recognised in the statement of profit and loss.

**Compensated absences**

The Company has a policy on compensated absences which is applicable to its executives joined upto a specified period and all workers. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an independent actuary at each balance sheet date using projected unit credit method on the additional amount expected to be paid/ availed as a result of the unused entitlement that has accumulated at the balance sheet date.

**Termination benefits**

Termination benefits, in the nature of voluntary retirement benefits or termination benefits arising from restructuring, are recognised in the Statement of Profit and Loss. The Company recognises termination benefits at the earlier of the following dates:

a) when the Company can no longer withdraw the offer of those benefits; or

b) when the Company recognises costs for a restructuring that is within the scope of Ind AS 37: Provisions, Contingent Liabilities and Contingent Assets and involves the payment of termination benefits.

**Share-based compensation**

**Share value plan**

BP PLC ("Ultimate Holding Company") has a "Share Value Plan" whereby the specified employees of its subsidiaries are granted restricted share units of Ultimate Holding Company. Each restricted share unit represents a conditional entitlement to receive one share of Ultimate Holding Company in future, provided that certain terms and conditions are met. The main terms and conditions are a) continuous employment with the BP group until the end of restricted period and b) achievement of certain performance targets by the employee and/or BP Group. The cost of equity-settled transactions with employees is measured by reference to the fair value of the equity instruments on the date on which they are granted and is recognised as an expense over the restricted period. A corresponding credit is recognised within equity since the cost of such share value plan is borne by the Ultimate Holding Company.

**Restricted share unit and options**

BP plc ("Ultimate Holding Company") has a "One time reinvent plan" whereby all the employees of its subsidiaries are granted restricted share units of Ultimate Holding Company. Each restricted share unit represents a conditional entitlement to receive one share of Ultimate Holding Company in future, provided that certain terms and conditions are met. Each Option consist of a defined number of shares of ultimate holding Company (lot) at a fixed price with a condition entitlement to sell the lot of shares in future after the vesting period.

The main terms and conditions are a) continuous employment with the BP group until the end of vesting period and b) achievement of certain performance targets by the employee and/or BP Group. The cost of equity-settled transactions with employees is measured by reference to the fair value of the equity instruments on the date on which they are granted and is recognized as an expense over the vesting period. A corresponding credit is recognized within equity since the cost of such share value plan is borne by the Ultimate Holding Company.

**Share match plan**

The Ultimate Holding Company has a "Share Match Plan" whereby all executive employees of its subsidiaries have been given a right to purchase the shares of Ultimate Holding Company upto a specified amount. Every employee who opts for the scheme contributes by way of payroll deduction a specified amount towards purchase of share. The Company contributes equal amount and charges it to employee benefits expense.

**Other employee benefits**

Short term employee benefits are recognised as an expense at the undiscounted amount in the statement of profit and loss of the year in which the related service is rendered.

Redundancy expenses are fully charged to the statement of profit and loss in the year in which they accrue.

**e. Taxes**

Income tax expense comprises current income tax and deferred income tax. Income tax expense is recognised in the statement of profit and loss except to the extent it relates to items recognised directly in equity, in which case it is recognised in other comprehensive income or other equity as the case may be.

**Current income tax**

Current tax is the amount of tax payable based on the taxable profit for the year as determined in accordance with the applicable tax rates and the provisions of the Income Tax Act, 1961. The current tax year for the Company being the year ending March 31, the provision for taxation for the year is aggregate of the provision made for the three months ended on March 31, 2025 and the provision for the remaining period of nine months ending on December 31, 2025. The provision for the remaining period of nine months has been arrived at by applying the applicable tax rate of the financial year 2025-26 to Profit Before Tax of the said period.

**Deferred tax**

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profits.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are recognised for all deductible temporary

# Notes to the Financial Statements

for the year ended December 31, 2025

differences, the carry forward of unused tax credits and any unused tax losses to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off tax assets against tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

**f. Property, Plant and Equipment**

Property, Plant and Equipment are stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost comprises the purchase price, including import duties and non-refundable purchase taxes (Net of taxes credit wherever applicable) and any attributable cost of bringing the assets to its working condition for its intended use. Such cost also includes the cost of replacing part of the Property, Plant and Equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of Property, Plant and Equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the Property, Plant and Equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in statement of profit and loss as incurred.

Depreciation on Property, Plant and Equipment is calculated on a straight-line basis, from the month of addition, using the estimated useful lives based on single shift, as specified in schedule II to the Companies Act, 2013, except in respect of the following assets:

| Assets description | Useful life as per management (as technically assessed) | Useful life under schedule II |
|---|---|---|
| Residential and office buildings | 5 years to 30 years | 60 years |
| Plant & Equipment | 2 years to 21 years | 15 years |
| Office Equipment | 1 year to 15 years | 5 years |
| Computer Hardware | 3 years to 6 years | 3 years |
| Equipment board with dealers* | 3 years | 10 years |
| Furniture and fixture | 2 years to 15 years | 10 years |
| Motor vehicles | 4 years to 10 years | 8 years |
| Laboratory equipment | 5 years to 21 years | 10 years |

*The Equipment board with dealers are derecognized at the end of the useful life of 3 years.

The residual values, useful lives and methods of depreciation of Property, Plant and Equipment are reviewed at the end of each reporting period and adjusted prospectively, if appropriate.



Notes to the Financial Statements

for the year ended December 31, 2025

**g. Intangible assets**

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles are not capitalised and the related expenditure is reflected in statement of profit and loss in the period in which the expenditure is incurred.

Intangible assets are amortized over the useful economic life i.e. 4-5 years based on management assessment and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets is recognised in the statement of profit and loss.

**h. Leases**

The Company, at the inception of a contract, assesses whether a contract, is or contains a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. A lessee recognises a right-of-use ("ROU") asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments.

Also, the Company has elected not to recognise right-of-use of assets and lease liabilities for short term leases that have a lease term of 12 months or less and leases of low value assets. The Company recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

The right-of-use assets are initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives. They are subsequently measured at cost less accumulated depreciation and impairment losses, if any. Right-of-use assets are depreciated from the commencement date on a straight-line basis over the shorter of the lease term and useful life of the underlying asset. The lease liability is initially measured at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates. The lease liability is subsequently remeasured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made.

A lease liability is remeasured, with a corresponding adjustment to the ROU asset, upon the occurrence of certain events such as a change in the lease term or a change in an index or rate used to determine lease payments.

Lease liabilities and ROU assets have been separately presented in the Balance Sheet and lease payments have been classified as financing cash flows.

**i. Inventories**

Inventories consist of raw and packing materials, stock-in-trade and finished goods. Inventories are valued at lower of cost and net realisable value. Cost of inventories is determined on weighted average basis. Cost of manufactured finished goods and work-in-progress includes material cost determined on weighted average basis and also includes an appropriate portion of allocable overheads. Cost of traded goods includes cost of purchase and other cost incurred in bringing the inventories to the present location and condition. Due allowances are made in respect of slow moving, non-moving and obsolete inventories based on estimate made by management.

**j. Impairment of non-financial assets**

The carrying amount of assets are reviewed for impairment at the end of each reporting date

# Notes to the Financial Statements

for the year ended December 31, 2025

if there is any indication of impairment based on internal/external factor. An impairment loss is recognised in the statement of profit and loss wherever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is the greater of the asset's or cash generating unit's fair value less cost of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and risks specific to the asset. In determining fair value, recent market transactions are taken into account.

The business plans which are approved on an annual basis by senior management are the primary source of information for the determination of value in use. As an initial step in the preparation of these plans, various assumptions regarding market conditions, and cost inflation rates are set by senior management. These assumptions take account of existing prices and other macro economic factors and historical trends and variability.

Impairment losses including impairment on inventories are recognised in the statement of profit and loss, except for previously revalued tangible assets, where the revaluation was taken to revaluation reserve. In this case, the impairment is also recognised in the revaluation reserve up to the amount of any previous revaluation.

After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life. A previously recognised impairment loss is increased or reversed depending on changes in circumstances. However, the carrying value after reversal is not increased beyond the carrying value that would have prevailed by charging usual depreciation if there was no impairment. Such reversal is recognised in the statement of profit and loss.

**k. Provisions**

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to a provision is presented in the statement of profit and loss.

**l. Financial instruments**

**a) Non-derivative financial instruments:**

**Initial recognition and measurement**

All financial assets and liabilities are initially recognised at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities, which are not at fair value through statement of profit and loss, are adjusted to the fair value on initial recognition. Trade receivables that do not contain a significant financing component are measured at transaction price. Purchase and sale of financial assets are recognised using trade date accounting.

**Subsequent measurement**

**Financial assets carried at amortized cost**

A financial asset is measured at amortized cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

**Financial assets at fair value through other comprehensive income (FVOCI)**

A financial asset is measured at FVOCI if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding and which are not held for trading.

For equity instrument, the Company may make irrevocable election to present such investments at FVOCI. The Company makes such election on an instrument-by-instrument basis. Pursuant to such irrevocable option, changes in fair value are recognised in the OCI and is subsequently not reclassified to the statement of profit and loss.

**Financial assets at fair value through statement of profit and loss (FVTPL)**

A financial asset which is not classified in any of the above categories are measured at FVTPL.

**Financial liabilities**

All financial liabilities are subsequently measured at amortized cost using the effective interest method or at FVTPL.

**b) Derivative financial instruments**

The Company enters into foreign exchange forward contracts to manage its foreign exchange rate risks.

Derivatives are initially recognised at fair value at the date the derivative contracts are entered into and are subsequently remeasured to their fair value at the end of each reporting period. The resulting gain or loss is recognised in statement of profit and loss immediately.

**Derecognition of financial instruments**

**Financial assets**

The Company derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party. If the Company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Company retains substantially all the risks and rewards of ownership of a transferred financial asset, the Company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity is recognised in statement of profit and loss if such gain or loss would have otherwise been recognised in statement of profit and loss on disposal of that financial asset.

**Financial liabilities**

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit and loss.

**Impairment of financial assets**

The Company applies the expected credit loss model for recognising impairment loss on financial assets measured at Amortized cost, debt instruments at FVOCI, lease receivables, trade receivables, other contractual rights to receive cash or other financial asset not designated as at FVTPL.

Expected credit losses are the weighted average of credit losses with the respective risks of default occurring as the weights. Credit loss is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. The Company estimates cash flows by considering all contractual terms of the financial instrument through the expected life of that financial instrument.

The Company measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on

# Notes to the Financial Statements

for the year ended December 31, 2025

that financial instrument has increased significantly since initial recognition. If the credit risk on a financial instrument has not increased significantly since initial recognition, the Company measures the loss allowance for that financial instrument at an amount equal to 12 months expected credit losses. 12 months expected credit losses are portion of the lifetime expected credit losses and represent the lifetime cash shortfalls that will result if default occurs within the 12 months after the reporting date and thus, are not cash shortfalls that are predicted over the next 12 months.

If the Company measured loss allowance for a financial instrument at lifetime expected credit loss model in the previous period, but determines at the end of a reporting period that the credit risk has not increased significantly since initial recognition due to improvement in credit quality as compared to the previous period, the Company again measures the loss allowance based on 12 months expected credit losses.

When making the assessment of whether there has been a significant increase in credit risk since initial recognition, the Company uses the change in the risk of a default occurring over the expected life of the financial instrument instead of the change in the amount of expected credit losses. To make that assessment, the Company compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition and considers reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115, the Company always measures the loss allowance at an amount equal to lifetime expected credit losses.

Further, for the purpose of measuring lifetime expected credit loss allowance for trade receivables, the Company has used a practical expedient as permitted under Ind AS 109. This expected credit loss allowance is computed based on a provision matrix which takes into account historical credit loss experience and adjusted for forward looking information.

**m. Cash and cash equivalents**

Cash and cash equivalents in the balance sheet comprise cash at banks and on hand, investment in overnight funds and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. As part of the Company's cash management policy to meet short-term cash commitments, it parks its surplus funds in overnight funds that are held for a period of three months or less from the date of acquisition. These funds are open-ended debt funds that are readily convertible into known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the cash flow statement, cash and cash equivalents consist of cash and short-term deposits, as defined above, as they are considered an integral part of the Company's cash management.

**n. Earnings per share**

Basic earnings per share is calculated by dividing the net statement of profit and loss for the year attributable to equity shareholders (after deducting attributable taxes) by the weighted average number of equity shares outstanding during the year. The weighted average number of equity shares outstanding during the year is adjusted for events of bonus issue; bonus element in a rights issue to existing shareholders; share split; and reverse share split (consolidation of shares). For the purpose of calculating diluted earnings per share, the net statement of profit and loss for the year attributable to equity shareholders and the weighted



# Notes to the Financial Statements

for the year ended December 31, 2025

average number of shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares.

**o. Cash dividend**

The Company recognises a liability to make cash distributions to equity holders when the distribution is authorised and the distribution is no longer at the discretion of the Company. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity.

**p. Contingent liabilities**

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Company does not recognise a contingent liability but discloses its existence in the financial statements, unless the possibility of an outflow of resources embodying economic benefits is remote.

**q. Exceptional Items**

An item of income or expense which by its size, nature, occurrence or incidence requires a disclosure in order to improve understanding of the performance of the Company is treated as an exceptional item in the Statement of Profit and Loss account.

# Notes to the Financial Statements

for the year ended December 31, 2025

## 3. Property, Plant and Equipment, Capital work-in-progress and Other intangible assets

₹ in Crore

| Particulars | | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|---|
| **A.** | **Carrying amounts** | | |
| | **Tangible Assets** | | |
| | Freehold land | 3.87 | 3.87 |
| | Leasehold land | - | - |
| | Building (Including Leasehold Improvements) | 72.29 | 69.64 |
| | Plant & equipment | 82.19 | 68.45 |
| | Laboratory equipment | 18.07 | 12.55 |
| | Computer hardware | 7.48 | 6.86 |
| | Furniture & fixture | 70.87 | 58.59 |
| | Office equipment | 4.99 | 4.09 |
| | Motor vehicles | 0.09 | 0.12 |
| | | **259.85** | **224.17** |
| | **Other intangible assets** | | |
| | Computer Software | 0.90 | 1.52 |
| **B.** | **Capital work-in-progress (Refer Note 1)** | **72.07** | **60.26** |

₹ in Crore

| Particulars | Freehold Land* | Building (Including Leasehold Improvements) | Plant & Equipment | Laboratory Equipment | Computer Hardware | Furniture & Fixture | Office Equipment | Motor Vehicles | Computer Software | Total |
|---|---|---|---|---|---|---|---|---|---|---|
| **Cost** | | | | | | | | | | |
| **Balance as at January 01, 2024** | **3.87** | **70.71** | **166.53** | **26.05** | **16.84** | **141.49** | **9.08** | **0.23** | **16.89** | **451.69** |
| Additions | - | 36.15 | 39.56 | 5.08 | 1.51 | 48.03 | 3.35 | - | 1.06 | 134.74 |
| Disposals | - | 0.33 | 1.58 | 1.12 | 7.80 | 51.01 | 0.90 | - | - | 62.74 |
| **Balance as at December 31, 2024** | **3.87** | **106.53** | **204.51** | **30.01** | **10.55** | **138.51** | **11.53** | **0.23** | **17.95** | **523.69** |
| Additions | - | 9.87 | 30.20 | 9.05 | 4.94 | 58.71 | 2.45 | - | 0.50 | 115.72 |
| Disposals | - | 0.39 | 10.66 | 1.26 | 0.55 | 64.56 | 5.07 | - | 2.27 | 84.76 |
| **Balance as at December 31, 2025** | **3.87** | **116.01** | **224.05** | **37.80** | **14.94** | **132.66** | **8.91** | **0.23** | **16.18** | **554.65** |
| **Accumulated depreciation** | | | | | | | | | | |
| **Balance as at January 01, 2024** | **-** | **31.86** | **122.09** | **15.95** | **8.81** | **81.08** | **7.49** | **0.08** | **14.70** | **282.06** |
| Additions | - | 5.36 | 15.36 | 2.61 | 2.52 | 49.83 | 0.85 | 0.03 | 1.73 | 78.29 |
| Disposals | - | 0.33 | 1.39 | 1.10 | 7.78 | 50.99 | 0.90 | - | - | 62.49 |
| **Balance as at December 31, 2024** | **-** | **36.89** | **136.06** | **17.46** | **3.55** | **79.92** | **7.44** | **0.11** | **16.43** | **297.86** |
| Additions | - | 7.12 | 16.04 | 3.27 | 4.28 | 45.99 | 1.50 | 0.03 | 1.12 | 79.35 |
| Disposals | - | 0.29 | 10.24 | 1.00 | 0.51 | 64.12 | 5.02 | - | 2.27 | 83.45 |
| **Balance as at December 31, 2025** | **-** | **43.72** | **141.86** | **19.73** | **7.32** | **61.79** | **3.92** | **0.14** | **15.28** | **293.76** |
| **Impairment Loss** | | | | | | | | | | |
| **Balance as at January 01, 2024** | **-** | **-** | **-** | **-** | **0.14** | **-** | **-** | **-** | **-** | **0.14** |
| Additions | - | - | - | - | - | - | - | - | - | - |
| Disposals | - | - | - | - | - | - | - | - | - | - |
| **Balance as at December 31, 2024** | **-** | **-** | **-** | **-** | **0.14** | **-** | **-** | **-** | **-** | **0.14** |
| Additions | - | - | - | - | - | - | - | - | - | - |
| Disposals | - | - | - | - | - | - | - | - | - | - |
| **Balance as at December 31, 2025** | **-** | **-** | **-** | **-** | **0.14** | **-** | **-** | **-** | **-** | **0.14** |





# Notes to the Financial Statements

for the year ended December 31, 2025

## 3. Property, Plant and Equipment, Capital work-in-progress and Other intangible assets *(Contd.)*

₹ in Crore

| Particulars | Freehold Land* | Building (Including Leasehold Improvements) | Plant & Equipment | Laboratory Equipment | Computer Hardware | Furniture & Fixture | Office Equipment | Motor Vehicles | Computer Software | Total |
|---|---|---|---|---|---|---|---|---|---|---|
| **Carrying amounts** | | | | | | | | | | |
| **Balance as at January 01, 2024** | **3.87** | **38.85** | **44.44** | **10.10** | **7.89** | **60.41** | **1.59** | **0.15** | **2.19** | **169.49** |
| Additions | - | 36.15 | 39.56 | 5.08 | 1.51 | 48.03 | 3.35 | - | 1.06 | 134.74 |
| Depreciation / Impairment | - | 5.36 | 15.36 | 2.61 | 2.52 | 49.83 | 0.85 | 0.03 | 1.73 | 78.29 |
| Disposals (net) | - | - | 0.19 | 0.02 | 0.02 | 0.02 | - | - | - | 0.25 |
| **Balance as at December 31, 2024** | **3.87** | **69.64** | **68.45** | **12.55** | **6.86** | **58.59** | **4.09** | **0.12** | **1.52** | **225.69** |
| Additions | - | 9.87 | 30.20 | 9.05 | 4.94 | 58.71 | 2.45 | - | 0.50 | 115.72 |
| Depreciation / Impairment | - | 7.12 | 16.04 | 3.27 | 4.28 | 45.99 | 1.50 | 0.03 | 1.12 | 79.35 |
| Disposals (net) | - | 0.10 | 0.42 | 0.26 | 0.04 | 0.44 | 0.05 | - | - | 1.31 |
| **Balance as at December 31, 2025** | **3.87** | **72.29** | **82.19** | **18.07** | **7.48** | **70.87** | **4.99** | **0.09** | **0.90** | **260.75** |

*Title deeds of all immovable properties are held in the name of the Company, except for the freehold land situated in Mehsana, Gujarat having a gross carrying value of ₹ 0.01 Crore held in the name of Indrol Lubricants Specialist Ltd. The title deed is in the name of erstwhile company and it has filed an application for mutation of name.

₹ in Crore

| Particulars | Total |
|---|---|
| **Capital work in progress movement** | |
| **Balance as at January 01, 2024** | **108.36** |
| Addition during the year | 87.28 |
| Capitalised during the year | 134.74 |
| Write off | 0.64 |
| **Balance as at December 31, 2024** | **60.26** |
| Addition during the year | 127.53 |
| Capitalised during the year | 115.72 |
| Write off | - |
| **Balance as at December 31, 2025** | **72.07** |

**Note 1**

**Ageing of Capital work-in-progress**

| Particulars | As at December 31, 2025 ₹ in Crore | | As at December 31, 2024 ₹ in Crore | |
|---|---|---|---|---|
| | Projects in progress | Projects Temporary suspended | Projects in progress | Projects Temporary suspended |
| Less than 1 year | 69.74 | - | 53.22 | - |
| 1 - 2 years | 1.87 | - | 5.56 | - |
| 2 - 3 years | 0.24 | - | 1.40 | - |
| More than 3 years | 0.22 | - | 0.08 | - |
| **Total** | **72.07** | **-** | **60.26** | **-** |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 3. Property, Plant and Equipment, Capital work-in-progress and Other intangible assets *(Contd.)*

**Projects where completion is overdue or cost has exceeded its original plan**

₹ in Crore

| Particulars | As at December 31, 2025 To be completed in | | | | As at December 31, 2024 To be completed in | | | |
|---|---|---|---|---|---|---|---|---|
| | Less than 1 year | 1 - 2 years | 2 - 3 years | More than 3 years | Less than 1 year | 1 - 2 years | 2 - 3 years | More than 3 years |
| 1. Project 1 (Z24CM005) | 3.30 | - | - | - | - | - | - | - |
| 2. Project 2 (Z22CM005) | 2.96 | - | - | - | - | - | - | - |
| 3. Project 3 (X25CM001) | 2.59 | - | - | - | - | - | - | - |
| 4. Project 4 (X20IM012) | 1.99 | - | - | - | 2.30 | - | - | - |
| 5. Project 5 (Z23CM037) | 1.64 | - | - | - | - | - | - | - |
| 6. Project 6 (Y25IM006) | 1.00 | - | - | - | - | - | - | - |
| 7. Project 7 (Z23CM028) | - | - | - | - | 3.87 | - | - | - |
| 8. Project 8 (S21CM001) | - | - | - | - | 3.78 | - | - | - |
| 9. Project 9 (X21IM013) | - | - | - | - | 2.57 | - | - | - |
| 10. Project 10 (Z24CM027) | - | - | - | - | 2.37 | - | - | - |
| 11. Project 11 (Z23IM004) | - | - | - | - | 2.08 | - | - | - |
| 12. Others | 6.36 | - | - | - | 7.79 | - | - | - |
| **Total** | **19.84** | **-** | **-** | **-** | **24.76** | **-** | **-** | **-** |

## 4. Financial assets

(Unsecured, considered good, unless otherwise stated)

### 4.1 Loans

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Non-Current** | | |
| Considered good - unsecured | | |
| Loans to employees* | 0.66 | 0.95 |
| | **0.66** | **0.95** |
| **Current** | | |
| Considered good - unsecured | | |
| Loans to employees* | 0.52 | 0.52 |
| **Total** | **0.52** | **0.52** |

* Includes ₹ Nil (December 31, 2024 : ₹ 0.01 Crore) to key managerial personnel.



Notes to the Financial Statements

for the year ended December 31, 2025

## 4. Financial assets *(Contd.)*

### 4.2 Other financial assets

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Financial assets carried at amortized cost** | | |
| **Non Current** | | |
| Advance to customers - rebate | | |
| - Considered good | - | - |
| - Considered doubtful | 3.76 | 3.76 |
| | **3.76** | **3.76** |
| Less : Allowance for doubtful advances | (3.76) | (3.76) |
| | - | - |
| Security deposits# | 9.28 | 9.44 |
| | **9.28** | **9.44** |
| **Current** | | |
| Rebates receivable | 31.73 | 36.58 |
| Interest accrued on bank deposits | 9.90 | 19.74 |
| Security deposits# | 0.16 | 0.16 |
| **Derivative instruments at fair value through Profit or loss** | | |
| **Current** | | |
| Derivatives not designated as hedges | | |
| Foreign exchange forward contracts* | 0.06 | 0.41 |
| **Total** | **41.85** | **56.89** |

# Security deposit are non interest bearing and recoverable at the termination of contract unless otherwise agreed

* While the Company entered into forward contracts with the intention of reducing the foreign exchange risk of expected purchases, these contracts are not designated in hedge relationships and are measured at fair value through profit or loss.

### 4.3 Trade receivables *# (Refer note 28)

| Particulars | | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Current** | **(A)** | **100.78** | **96.47** |
| Considered good - secured## | | | |
| | | | |
| Unsecured | | 372.43 | 341.22 |
| Considered good | | 11.64 | 9.97 |
| Considered doubtful | | (11.64) | (9.97) |
| Less : Allowance for doubtful debts | **(B)** | **372.43** | **341.22** |
| | **(A + B)** | **473.21** | **437.69** |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 4. Financial assets *(Contd.)*

**Movement in the allowance of doubtful debts during the year**

₹ in Crore

| Particulars | For the year ended December 31, 2025 | For the year ended December 31, 2024 |
|---|---|---|
| **Balance at the beginning of the year** | **9.97** | **9.04** |
| Add: Allowance created during the year | 4.42 | 2.72 |
| Less: Reversal of allowance during the year | (2.55) | (1.34) |
| Less: Written back during the year | (0.20) | (0.45) |
| **Balance at end of the year** | **11.64** | **9.97** |

* Refer note no. 28 for related party receivables.

# The average credit period ranges from 1 to 90 days. Interest is charged at 24% p.a. on the overdue balance.

## Secured by deposits and bank guarantees from customers.

**Outstanding for the following period from the due date of payment as at December 31, 2025**

₹ in Crore

| Ageing | Undisputed Trade Receivables | | Disputed Trade Receivables | |
|---|---|---|---|---|
| | Considered Good | Considered Doubtful | Considered Good | Considered Doubtful |
| Not Due | 446.90 | - | - | - |
| Less than 6 months | 26.30 | 0.75 | - | - |
| 6 months - 1 year | 0.01 | 0.72 | - | 1.76 |
| 1-2 Years | - | 0.46 | - | 0.93 |
| 2-3 Years | - | - | - | 0.63 |
| More than 3 years | - | 0.20 | - | 6.19 |
| **Sub total** | **473.21** | **2.13** | **-** | **9.51** |
| **Total** | | | | **484.85** |
| Less : Allowance for doubtful trade receivables | | | | (11.64) |
| **Total Trade Receivables** | | | | **473.21** |

**Outstanding for the following period from the due date of payment as at December 31, 2024**

₹ in Crore

| Ageing | Undisputed Trade Receivables | | Disputed Trade Receivables | |
|---|---|---|---|---|
| | Considered Good | Considered Doubtful | Considered Good | Considered Doubtful |
| Not Due | 420.42 | - | - | - |
| Less than 6 months | 17.24 | 0.99 | - | 0.77 |
| 6 months - 1 year | 0.03 | 0.40 | - | 0.06 |
| 1-2 Years | - | 0.21 | - | 0.50 |
| 2-3 Years | - | 0.12 | - | 0.15 |
| More than 3 years | - | 0.43 | - | 6.34 |
| **Sub total** | **437.69** | **2.15** | **-** | **7.82** |
| **Total** | | | | **447.66** |
| Less : Allowance for doubtful trade receivables | | | | (9.97) |
| **Total Trade Receivables** | | | | **437.69** |



# Notes to the Financial Statements

for the year ended December 31, 2025

## 4. Financial assets *(Contd.)*

### 4.4 Cash and cash equivalents

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Balance with banks | | |
| In current accounts | 11.34 | 11.28 |
| Deposits with original maturity of less than 3 months | 195.10 | 220.01 |
| Investment in overnight funds# | 220.18 | 221.58 |
| **Total** | **426.62** | **452.87** |

# These instruments are mandatorily measured at fair value through profit or loss in accordance with Ind AS 109.

### 4.5 Bank Balances other than above

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Deposits with original maturity for less than 12 months | 696.51 | 930.00 |
| Unclaimed dividend account and capital reduction [Includes unclaimed amount of ₹ 1.22 Crore (December 31, 2024 : ₹ 1.22 Crore) pertaining to capital reduction in earlier years] | 17.86 | 16.10 |
| **Total** | **714.37** | **946.10** |

### 4.6 Non Current Investment

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Investments measured at fair value through other comprehensive income (FVTOCI) | 442.80 | 487.50 |
| **Total** | **442.80** | **487.50** |

| Nature of Instrument Unquoted, Fully Paid up | As at December 31, 2025 | |
|---|---|---|
| | No. of shares | Total Value ₹ in Crore |
| 0.001% Compulsorily Convertible Preference Shares (FV of ₹ 10 each) | 1,270,309 | 442.34 |
| Equity Shares (FV of ₹ 10 each) | 1,336 | 0.46 |
| **Closing Balance** | | **442.80** |

| Nature of Instrument Unquoted, Fully Paid up | As at December 31, 2024 | |
|---|---|---|
| | No. of shares | Total Value ₹ in Crore |
| 0.001% Compulsorily Convertible Preference Shares (FV of ₹ 10 each) | 1,270,309 | 486.99 |
| Equity Shares (FV of ₹ 10 each) | 1,336 | 0.51 |
| **Closing Balance** | | **487.50** |

During the previous year, Ki Mobility Solutions Private Limited (Ki Mobility) has undergone corporate restructuring through a Composite Scheme of Arrangement involving TVS Automobile Solutions Private Limited (TASPL), TASL Automobile Solutions Private Limited and Ki Mobility Solutions Private Limited, and their respective shareholders. The restructuring scheme is duly approved by Hon'ble Company Law Tribunal, Chennai. Consequently, Ki Mobility was amalgamated with TVS Automobile Solutions Private Limited (TASPL). The rights, and percentage of the shareholding of the Company in Ki Mobility continues to remain the same in TASPL although there has been a change in the number of shares which were allotted on November 28, 2024 by TASPL. Pursuant to the above mentioned approval, 1336 shares of ₹ 10 each fully paid (Equity and CCPS) of TASPL were allotted to the Company for every 100 shares of ₹ 10 each fully paid up (Equity and CCPS) held in Ki Mobility.

# Notes to the Financial Statements

for the year ended December 31, 2025

## 4. Financial assets *(Contd.)*

**Break up of financial assets carried at amortized cost**

| Particulars | Note | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|---|
| Loans | 4.1 | 1.18 | 1.47 |
| Trade receivables | 4.3 | 473.21 | 437.69 |
| Cash and cash equivalents | 4.4 | 206.44 | 231.29 |
| Other balances with banks | 4.5 | 714.37 | 946.10 |
| Other financial assets | 4.2 | 51.07 | 65.92 |
| **Total** | | **1,446.27** | **1,682.47** |

## 5. Income tax assets (net)

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Advance income tax / tax deducted at source (net of current tax provision) | 24.93 | 27.98 |
| **Total** | **24.93** | **27.98** |

## 6. Deferred tax assets - (net)

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Deferred tax assets (net)* | 95.64 | 85.03 |
| **Total** | **95.64** | **85.03** |

**Movement in deferred tax assets / (liabilities)**

₹ in Crore

| Particulars | Net balance as at January 01, 2025 | Recognised in the statement of profit and loss | Recognised in OCI | Net deferred tax asset/(liability) as at December 31, 2025 |
|---|---|---|---|---|
| **Deferred tax asset / (liabilities)** | | | | |
| Property, Plant and Equipment | 57.14 | 4.21 | - | 61.35 |
| Right-of-use asset (net) | 1.64 | 0.11 | - | 1.75 |
| 43B disallowances | 17.64 | 5.16 | (0.09) | 22.71 |
| Inventories - obsolete | 2.00 | 0.57 | - | 2.57 |
| Allowance for doubtful debts | 5.18 | 0.42 | - | 5.60 |
| Other temporary differences | 1.43 | 0.23 | - | 1.66 |
| **Deferred tax asset / (liabilities)** | **85.03** | **10.70** | **(0.09)** | **95.64** |





# Notes to the Financial Statements

for the year ended December 31, 2025

## 6. Deferred tax assets - (net) *(Contd.)*

**Movement in deferred tax assets / (liabilities)**

₹ in Crore

| Particulars | Net balance as at January 01, 2024 | Recognised in the statement of profit and loss | Recognised in OCI | Net deferred tax asset/(liability) as at December 31, 2024 |
|---|---|---|---|---|
| **Deferred tax asset / (liabilities)** | | | | |
| Property, Plant and Equipment | 51.28 | 5.86 | - | 57.14 |
| Right-of-use asset (net) | 1.16 | 0.48 | - | 1.64 |
| 43B disallowances | 15.40 | 1.80 | 0.44 | 17.64 |
| Inventories - obsolete | 3.17 | (1.17) | - | 2.00 |
| Allowance for doubtful debts | 5.08 | 0.10 | - | 5.18 |
| Other temporary differences | 2.01 | (0.58) | - | 1.43 |
| **Deferred tax asset / (liabilities)** | **78.10** | **6.49** | **0.44** | **85.03** |

* The Company has a deferred tax asset on account of fair value loss on non-current investments in equity instruments through OCI. In the absence of reasonable certainty to generate adequate long-term capital gain in future to offset the long-term capital loss on fair value of non-current investment, the Company has not recognized the deferred tax asset on such fair value loss.

**Income Tax**

The major components of income tax expense

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Profit and Loss: | | |
| Current tax (including charge of earlier years - ₹ 1.19 Crore) (December 31, 2024 : ₹ 0.86 Crore) | 343.08 | 336.87 |
| Deferred tax | (10.70) | (6.49) |
| **Total Income tax expense** | **332.38** | **330.38** |

**Reconciliation of tax expense and the accounting profit multiplied by domestic tax rate**

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Profit before Income tax expense | 1,282.31 | 1,257.61 |
| Tax at the Indian tax rate 25.17% (December 31, 2024 : 25.17%) | 322.76 | 316.54 |
| **Items giving rise to difference in tax** | | |
| Effect of non-deductible expenses | 8.56 | 12.93 |
| Effect of tax adjustment of earlier years | 1.19 | 0.86 |
| Others | (0.13) | 0.05 |
| **Income tax expense** | **332.38** | **330.38** |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 7. Other assets

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Non-Current** | | |
| Advance to customers - rebate | | |
| - Considered good | 39.12 | 48.88 |
| - Considered doubtful | - | - |
| | **39.12** | **48.88** |
| Capital advances | 2.22 | 2.45 |
| Prepaid expenses | 2.89 | 0.94 |
| Deposits / balance with statutory / government authorities | | |
| - Considered good | 26.96 | 30.42 |
| - Considered doubtful | 6.86 | 6.86 |
| | **78.05** | **89.55** |
| Less: Allowance for doubtful deposits | (6.86) | (6.86) |
| **Total** | **71.19** | **82.69** |
| **Current** | | |
| Advance to customers - rebate | | |
| - Considered good | 53.90 | 48.50 |
| - Considered doubtful | - | - |
| | **53.90** | **48.50** |
| Prepaid expenses | 5.53 | 3.00 |
| Advance to suppliers | 8.18 | 22.30 |
| Other receivables | | |
| - Considered good | 3.03 | 4.83 |
| - Considered doubtful | - | - |
| | **3.03** | **4.83** |
| Deposits / balance with statutory / government authorities | 71.13 | 65.89 |
| **Total** | **141.77** | **144.52** |

## 8. Inventories (lower of cost and net realizable value)

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Raw materials [including stock in transit ₹ 41.16 Crore (December 31, 2024 : ₹ 51.36 Crore)] | 309.15 | 276.60 |
| Packing materials [including stock in transit Nil (December 31, 2024 : Nil)] | 6.46 | 7.14 |
| Finished goods [including stock in transit ₹ Nil (December 31, 2024 : Nil)] | 154.35 | 160.30 |
| Traded goods [including stock in transit ₹ 16.61 Crore (December 31, 2024 : ₹ 15.63 Crore)] | 76.38 | 80.17 |
| **Total** | **546.34** | **524.21** |

**Note:** The cost of inventories recognised in December 31, 2025 includes ₹ 2.22 Crore in respect of write down of inventories. (December 31, 2024 : ₹ 4.63 Crore in respect of recognition of write down of inventories.)



Notes to the Financial Statements

for the year ended December 31, 2025

## 9. Equity share capital

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Authorized** | | |
| 990,000,000 equity shares [(December 31, 2024 : 990,000,000 equity shares) - ₹ 5/- each] | 495.00 | 495.00 |
| | **495.00** | **495.00** |
| **Issued, subscribed and fully paid-up** | | |
| 989,122,384 equity shares [(December 31, 2024 : 989,122,384 equity shares) - ₹ 5/- each] | 494.56 | 494.56 |
| **Total** | **494.56** | **494.56** |

**a. Reconciliation of the equity shares outstanding at the beginning and at the end of the year**

| Particulars | As at December 31, 2025 | | As at December 31, 2024 | |
|---|---|---|---|---|
| | No. of Shares | ₹ in Crore | No. of Shares | ₹ in Crore |
| Balance at the beginning of the year | 989,122,384 | 494.56 | 989,122,384 | 494.56 |
| Outstanding at the end of the year | 989,122,384 | 494.56 | 989,122,384 | 494.56 |

**b. Terms / rights attached to equity shares**

The Company has only one class of equity shares having par value of ₹ 5/- per share (December 31, 2024 : ₹ 5/- per share). Each holder of equity shares is entitled to one vote per share. The dividend proposed by the board of directors is subject to the approvals of the shareholders in the ensuing annual general meeting (AGM).

| Dividend on Equity Shares | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Dividend on Equity Shares paid during the year** | | |
| Final Dividend ₹ 9.5 per share for the year December 31, 2024 (December 31, 2023 : ₹ 4.50 per share) | 939.67 | 445.11 |
| Interim Dividend ₹ 3.50 per share for the year December 31, 2025 (December 31, 2024 : ₹ 3.50 per share) | 346.19 | 346.19 |

The Board of Directors of the Company has at its meeting held on February 3, 2026 recommended a final dividend of ₹ 5.25 per share for year ended December 31, 2025 [December 31, 2024 : ₹ 9.5 per share (which includes a special dividend of ₹ 4.5 per share)] which is subject to the approval of the members at the ensuing annual general meeting.

In the event of the Company being liquidated, since the equity shares of the Company are fully paid - up, there would be no additional liability on the shareholders of the Company. However, post settlement of the liabilities of the Company, the surplus, if any, would be distributed amongst the shareholders in proportion to the number of shares held by each one of them.

**c. Equity shares in the Company held by its holding/ultimate holding company and/or their subsidiaries/associates are as below:**

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Castrol Limited, U.K . 504,452,416 equity shares of ₹ 5/- each fully paid (Holding Company) [December 31, 2024 : 504,452,416 equity shares of ₹ 5/- each fully paid] | 252.22 | 252.22 |

# Notes to the Financial Statements
for the year ended December 31, 2025

## 9. Equity share capital *(Contd.)*

**d. Details of shareholders holding more than 5% shares in the company are as below:**

| Particulars | As at December 31, 2025 | | |
|---|---|---|---|
| | No. of Shares | % holding in the class | % Change during the year |
| 1. Castrol Limited, U.K. | 504,452,416 | 51.00% | 0.00% |
| 2. Life Insurance Corporation of India | 98,266,253 | 9.93% | -0.12% |

| Particulars | As at December 31, 2024 | | |
|---|---|---|---|
| | No. of Shares | % holding in the class | % Change during the year |
| 1. Castrol Limited, U.K. | 504,452,416 | 51.00% | 0.00% |
| 2. Life Insurance Corporation of India | 99,433,476 | 10.05% | -1.24% |

**e. Share held by promoters/promoters group at the end of the year**

| Particulars | As at December 31, 2025 | As at December 31, 2024 | % Change during the year |
|---|---|---|---|
| Castrol Limited, U.K. (No. of shares) | 504,452,416 | 504,452,416 | 0.00% |

As per records of the Company, including its register of shareholders/ members and other declarations received from shareholders regarding beneficial interest, the above shareholding represents both legal and beneficial ownership of shares.

## 10. Other Equity **

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Share based payment## | 103.30 | 101.00 |
| Capital reserve# | 13.62 | 13.62 |
| Retained earnings@ | 1,288.82 | 1,669.19 |
| **Total** | **1,405.74** | **1,783.81** |

## Share value plan of ultimate holding company (refer note 2.5 (d) of material accounting policies)

# Capital reserve mainly represents amount transferred on amalgamation with erstwhile Tata BP Lubricants

** For movement, refer statement of changes in equity

@ Retained earnings represents profit that the Company has earned to date, less any dividends or other distributions paid to the investors.

## 11. Financial liabilities

### 11.1 Trade payables # (Refer note 28)

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Current** | | |
| Total outstanding dues of micro enterprises and small enterprises (Refer note 26) | 9.32 | 18.29 |
| Total outstanding dues of creditors other than micro enterprises and small enterprises | 776.73 | 685.36 |
| **Total** | **786.05** | **703.65** |

# Trade payables are non-interest bearing and are normally settled between 7 to 90 days credit terms



Notes to the Financial Statements
for the year ended December 31, 2025

## 11. Financial liabilities *(Contd.)*

**Outstanding for the following period from the due date of payment as at December 31, 2025**

₹ in Crore

| Ageing | MSME | Others | Disputed dues MSME | Disputed dues Others |
|---|---|---|---|---|
| Unbilled | - | 587.86 | - | - |
| Not due | 8.92 | 159.50 | - | - |
| Less than 1 Year | 0.29 | 20.96 | - | - |
| 1-2 Years | 0.08 | 0.51 | - | - |
| 2-3 Years | - | 0.07 | - | - |
| More than 3 Years | 0.03 | 0.32 | - | 7.51 |
| **Sub total** | **9.32** | **769.22** | **-** | **7.51** |
| **Total trade payables** | | | | **786.05** |

**Outstanding for the following period from the due date of payment as at December 31, 2024**

| Ageing | MSME | Others | Disputed dues MSME | Disputed dues Others |
|---|---|---|---|---|
| Unbilled | - | 443.28 | - | - |
| Not due | 17.00 | 206.65 | - | - |
| Less than 1 Year | 0.74 | 26.85 | - | - |
| 1-2 Years | 0.05 | 0.10 | - | - |
| 2-3 Years | 0.47 | 0.07 | - | 0.50 |
| More than 3 Years | 0.03 | 0.69 | - | 7.22 |
| **Sub total** | **18.29** | **677.64** | **-** | **7.72** |
| **Total trade payables** | | | | **703.65** |

### 11.2 Other financial liabilities

| Financial liabilities at amortized cost | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Current** | | |
| Deposit from customers# | 36.29 | 36.74 |
| Employee benefits payable | 39.17 | 43.22 |
| Capex payables | 67.57 | 37.60 |
| Interest accrued and due on deposit from customers | 1.46 | 1.39 |
| Rebate payables | 335.52 | 302.92 |
| Corporate social responsibility | - | 0.97 |
| Unclaimed dividend account and capital reduction [Includes unclaimed amount of ₹ 1.22 Crore (December 31, 2024 : ₹ 1.22 Crore) pertaining to capital reduction in earlier years]## | 17.86 | 16.10 |
| **Total** | **497.87** | **438.94** |

# Deposit from customers are interest bearing and repayable on termination of agreement unless otherwise agreed

## The Company has transferred the amounts required to be transferred to the Investor Education and Protection Fund (IEPF) within due date. The Company has not transferred an amount of ₹ 0.20 Crore (December 31, 2024: ₹ 0.18 Crore) accumulated over the years as dividends held in abeyance, for cases where disputes relating to ownership of the underlying shares have remained unresolved. There are no other amounts due for payment to the IEPF under Section 125 of the Companies Act, 2013 as at the year end. In Previous year, the Company had transferred an amount of ₹ 0.97 Crore to the Investor Education and Protection Fund (IEPF) after the due date as the e-portal of the Ministry of Corporate Affairs (MCA) was under migration and the required IEPF Forms were unavailable for filing by the Company during the period July and August 2024 during which the aforesaid amount of ₹ 0.97 Crore was due. MCA vide General Circular Nos. 6/2024 and 7/2024 dated July 06, 2024 and July 17, 2024, respectively, clarified about the same and granted waiver of additional fees on Form IEPF-1 till August 16, 2024 to companies and also notified the new process for transfer of unpaid amounts to IEPF which could be done only after filing the said Form IEPF-1 under the upgraded portal.

# Notes to the Financial Statements

for the year ended December 31, 2025

## 12. Provisions

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| **Non Current** | | |
| Provision for employee benefit (Refer note 27) | 44.78 | 24.71 |
| **Total** | **44.78** | **24.71** |
| **Current** | | |
| Provision for employee benefit (Refer note 27) | 0.39 | 0.49 |
| Provision for indirect taxes [Refer note (a) and (b) below] | 34.22 | 32.70 |
| Provision for litigations [Refer note (b)] | 0.84 | 0.84 |
| **Total** | **35.45** | **34.03** |

**(a) Movement in Provision for Indirect Taxes:**

| Particulars | For the year ended December 31, 2025 ₹ in Crore | | For the year ended December 31, 2024 ₹ in Crore | |
|---|---|---|---|---|
| | Excise, Customs and Service tax | Sales Tax, VAT and GST | Excise, Customs and Service tax | Sales Tax, VAT and GST |
| **Balance as at January 01** | **1.46** | **31.24** | **2.70** | **30.23** |
| Addition during the year | 0.34 | 1.95 | - | 1.40 |
| Reversed / Paid during the year | - | 0.77 | 1.24 | 0.39 |
| **Balance as at December 31** | **1.80** | **32.42** | **1.46** | **31.24** |
| **Total** | | **34.22** | | **32.70** |

(b) The Company has made provision for known litigation cases and pending assessments in respect of taxes, duties and other levies, the outflow of which would depend on the final outcome of the respective cases.

## 13. Current tax liabilities (net)

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Provision for tax (net of advance tax and tax deducted at source) | 7.37 | 14.70 |
| **Total** | **7.37** | **14.70** |

## 14. Other current liabilities

| Particulars | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| Statutory dues | 41.18 | 41.90 |
| Advance from customers | 10.45 | 12.28 |
| Deferred revenue | 8.59 | 4.69 |
| **Total** | **60.22** | **58.87** |





# Notes to the Financial Statements

for the year ended December 31, 2025

## 15. Revenue from operations#

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Revenue from operations** | | |
| Sale of products [(net of rebates ₹ 679.03 Crore) December 31, 2024 : ₹ 643.64 Crore] | 5,700.32 | 5,345.68 |
| **Other operating revenue** | | |
| Income from services | 12.47 | 10.98 |
| Scrap sale | 8.71 | 8.19 |
| **Revenue from operations** | **5,721.50** | **5,364.85** |

# In case of sale of goods, the Company satisfies its performance obligation upon delivery, which is based on the terms agreed with the customer, and for the sale of services, the performance obligation is satisfied as and when the services are rendered. The Company does not have any remaining performance obligations as contracts entered for sale of goods are for shorter duration. There are no contract for sale of services wherein, performance obligation is unsatisfied to which transaction price has been allocated. The Company disaggregated revenues from contracts with customers by geography. Refer Note 24 below.

## 16. Other income

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Interest income on financial assets carried at amortized cost | | |
| From bank deposits | 46.89 | 66.71 |
| Others | 2.29 | 1.50 |
| Excess accruals written back | 0.72 | 0.52 |
| Gain on overnight funds** | 9.45 | 9.83 |
| Profit on sale of Property, Plant and Equipment (net) | 1.77 | - |
| Profit on fair valuation of forward contract | - | 0.38 |
| Miscellaneous income* | 6.31 | 9.67 |
| **Total** | **67.43** | **88.61** |

* Includes service rendered to related parties of ₹ 5.62 Crore (December 31, 2024 : ₹ 9.35 Crore)

**These instruments are measured at fair value through profit or loss in accordance with IND AS 109

## 17.1 Cost of raw and packing materials consumed

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Raw materials and packing materials consumed** | | |
| Inventory at the beginning of the year | 283.74 | 306.79 |
| Add : Purchases during the year | 2,687.48 | 2,482.57 |
| | **2,971.22** | **2,789.36** |
| Less : Inventory at the end of the year | 315.61 | 283.74 |
| **Total raw materials and packing materials consumed** | **2,655.61** | **2,505.62** |

# Notes to the Financial Statements
for the year ended December 31, 2025

## 17.2 Purchase of traded goods

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Purchase of traded goods | 254.06 | 236.55 |
| **Total** | **254.06** | **236.55** |

## 17.3 Changes in inventories of finished goods / traded goods

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Inventories at the end of the year** | | |
| Traded goods | 76.38 | 80.17 |
| Finished goods | 154.35 | 160.30 |
| | **230.73** | **240.47** |
| **Inventories at the beginning of the year** | | |
| Traded goods | 80.17 | 80.42 |
| Finished goods | 160.30 | 145.71 |
| | **240.47** | **226.13** |
| **Net decrease / (increase) in inventories of finished / traded goods** | 9.74 | (14.34) |

## 18. Employee benefits expense

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Salaries and wages | 258.10 | 259.03 |
| Share based payments (refer note 31) | 3.74 | 23.56 |
| Contribution to provident and other funds | 21.13 | 18.75 |
| Staff welfare expenses | 13.23 | 11.46 |
| **Total** | **296.20** | **312.80** |

## 19. Finance costs

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Interest on financial liabilities carried at amortized cost | 3.04 | 2.45 |
| Interest on income tax | 0.14 | 0.25 |
| Interest on lease liabilities | 6.11 | 6.68 |
| **Total** | **9.29** | **9.38** |

## 20. Depreciation and amortization expense

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Depreciation of property plant and equipment (refer note 3) | 78.23 | 76.56 |
| Amortization of right-of-use asset (refer note 23) | 21.47 | 21.48 |
| Amortization of intangible assets (refer note 3) | 1.12 | 1.73 |
| **Total** | **100.82** | **99.77** |





# Notes to the Financial Statements
for the year ended December 31, 2025

## 21. Other expenses

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Rent | 1.26 | 1.45 |
| Rates and taxes | 4.57 | 1.81 |
| Power and fuel | 6.82 | 7.15 |
| Stores and consumables | 2.59 | 2.60 |
| Freight and forwarding charges | 187.41 | 166.28 |
| Insurance | 7.79 | 6.87 |
| Repairs and maintenance | | |
| Land and buildings | 6.95 | 6.82 |
| Plant and equipment | 11.21 | 10.65 |
| Others | 19.18 | 21.56 |
| Allowance for doubtful debts (including bad debts) | 1.87 | 1.38 |
| Processing and filling charges | 25.25 | 22.04 |
| Advertising | 163.92 | 146.32 |
| Stock point operating charges | 41.38 | 37.08 |
| Loss on disposal/write off of Property, Plant and Equipment (net) | - | 0.25 |
| Capital work in progress write off | - | 0.64 |
| Director's sitting fees | 0.48 | 0.33 |
| Commission to resident non-whole time Indian directors | 0.72 | 0.74 |
| Royalty | 132.49 | 129.31 |
| Sales promotion fees | 315.44 | 273.94 |
| Travelling expenses | 19.03 | 17.24 |
| Legal, professional fees and contract charges | 166.51 | 146.57 |
| Payment to auditors [Refer note (i) below] | 2.07 | 1.99 |
| Foreign exchange loss (net) | 1.32 | 1.83 |
| Loss on fair valuation of forward contract | 0.35 | - |
| Corporate social responsibility [Refer note (ii) below] | 25.28 | 23.20 |
| Miscellaneous expenses | 14.48 | 18.02 |
| **Total** | **1,158.37** | **1,046.07** |

**Note**

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **(i) Payment to auditor (excluding taxes)** | | |
| **As auditor:** | | |
| Audit fee | 1.37 | 1.31 |
| Tax accounts and tax audit fees | 0.34 | 0.32 |
| Limited review | 0.23 | 0.22 |
| Reimbursement of expenses | 0.13 | 0.14 |
| **Total** | **2.07** | **1.99** |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 21. Other expenses *(Contd.)*

| Particulars | | | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|---|
| **(ii)** | **Corporate social responsibility activities** | | | |
| | a. | Gross amount required to be spent by the Company during the year. | 24.64* | 23.06 |
| | b. | Amount spent during the year (on purpose other than construction / acquisition of assets controlled by the company) - includes amount spent by implementation agency on behalf of the company and direct expenses. | 25.28 | 23.20 |
| | c. | Amount given to implementation agency (on purpose other than construction / acquisition of assets controlled by the company) during the year and spent within 30 days from the year-end by the implementation agency towards on-going project | - | - |
| | d. | Amount outstanding (payable to implementation / CSR monitoring agency) as at year end for ongoing projects | - | 0.97# |
| | e. | Details of related party transactions | N/A | N/A |
| | f. | Nature of CSR activities:<br>1. Programme for truck drivers - holistic development of truck drivers<br>2. Programme for mechanics - Strengthening skills in the automotive and industrial sectors, with a focus on technology<br>3. Community Development in the areas of operation and presence<br>4. Environmental sustainability | | |
| | g. | Where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movement in the provision | N/A | N/A |

**Note:** The company will set-off the excess contribution paid during the year amounting to ₹ 0.64 Crore in next 3 years

*net off excess contribution of previous year ₹ 0.14 Crore

#In respect of ongoing projects unspent CSR amount had been spent by the Company within 30 days from the end of the previous year, hence the Company has not transferred the unspent amount to special account as required under provision of sub-section (6) of section 135 of the Act.

## 22. Earnings per share (EPS)

| Particulars | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| Profit for the year | 949.93 | 927.23 |
| | **No. of Shares** | **No. of Shares** |
| Weighted average number of equity shares in calculating Basic and Diluted EPS | 989,122,384 | 989,122,384 |
| Basic and Diluted earnings per share (₹) | 9.60 | 9.37 |
| Nominal value per share (₹) | 5.00 | 5.00 |

## 23. Leases

**Right-of-use assets** ₹ in Crore

| Particulars | Land | Buildings | Vehicles | Total |
|---|---|---|---|---|
| **Balance at January 01, 2025** | **35.10** | **39.75** | **18.10** | **92.95** |
| Additions | 0.40 | - | 0.97 | 1.37 |
| Less: Amortization | 0.95 | 14.19 | 6.33 | 21.47 |
| **Balance at December 31, 2025** | **34.55** | **25.56** | **12.74** | **72.85** |





# Notes to the Financial Statements

for the year ended December 31, 2025

## 23. Leases *(Contd.)*

**Right-of-use assets** ₹ in Crore

| Particulars | Land | Buildings | Vehicles | Total |
|---|---|---|---|---|
| **Balance at January 01, 2024** | **16.96** | **54.82** | **17.58** | **89.36** |
| Additions | 18.66 | - | 6.41 | 25.07 |
| Less: Amortization | 0.52 | 15.07 | 5.89 | 21.48 |
| **Balance at December 31, 2024** | **35.10** | **39.75** | **18.10** | **92.95** |

**Lease liabilities** ₹ in Crore

| Particulars | Land | Buildings | Vehicles | Total |
|---|---|---|---|---|
| **Balance at January 01, 2025** | **17.47** | **45.23** | **19.32** | **82.02** |
| Additions | - | - | 0.97 | 0.97 |
| Add: Finance costs | 1.43 | 3.27 | 1.41 | 6.11 |
| Less: Payments | 0.96 | 17.72 | 7.61 | 26.29 |
| **Balance at December 31, 2025** | **17.94** | **30.78** | **14.09** | **62.81** |

**Lease liabilities** ₹ in Crore

| Particulars | Land | Buildings | Vehicles | Total |
|---|---|---|---|---|
| **Balance at January 01, 2024** | **-** | **58.66** | **18.29** | **76.95** |
| Additions | 17.92 | - | 6.41 | 24.33 |
| Add: Finance costs | 0.46 | 4.49 | 1.73 | 6.68 |
| Less: Payments | 0.91 | 17.92 | 7.11 | 25.94 |
| **Balance at December 31, 2024** | **17.47** | **45.23** | **19.32** | **82.02** |

The table below provides details regarding the contractual maturities of lease liabilities on an undiscounted basis as at December 31, 2025:

| Particulars | ₹ in Crore |
|---|---|
| Less than one year | 25.68 |
| Between one and five years | 28.89 |
| More than five years | 52.90 |

## 24. Segment information

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (CODM) of the Company. The CODM is responsible for allocating resources and assessing performance of the operating segments of the Company.

The Company has integrated its organization structure with respect to its automotive and non-automotive business considering that the synergies, risks and returns associated with business operations are not predominantly distinct. The company has aligned its internal financial reporting system in line with the organization structure. As a result the Company's reportable business segment consists of a single segment of "Lubricants" in terms of Ind AS 108. The Managing Director (Chief Operating Decision Maker) is accountable for leading the growth agenda for an integrated automotive and industrial business.

| Information by geographies | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Revenue** | | |
| India | 5,694.35 | 5,338.07 |
| Outside India | 27.15 | 26.78 |
| **Total** | **5,721.50** | **5,364.85** |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 24. Segment information *(Contd.)*

| Information by geographies | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|
| **Capital expenditure (including capital work-in-progress)** | | |
| India | 127.53 | 87.28 |
| Outside India | - | - |
| **Total** | **127.53** | **87.28** |

| Non-current assets | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|
| India | 476.86 | 461.59 |
| Outside India | - | - |
| **Total** | **476.86** | **461.59** |

There are no transactions with single customer which amounts to 10% or more of the Company's revenue for year ended December 31, 2025 and December 31, 2024.

## 25. (i) Contingent liabilities & commitments

| Particulars | | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **(a)** | **Contingent liabilities [Refer note below]** | | |
| | Claims against the Company not acknowledged as debts: | | |
| - | Income tax matters in dispute under appeal | 5.95 | 2.78 |
| - | Sales tax matter under appeals | 22.22 | 23.46 |
| - | In respect of compensation claimed by third parties / workers / employees | 1.86 | 1.76 |
| | **(A)** | **30.03** | **28.00** |
| **(b)** | **Commitments** | | |
| - | Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances) | 81.51 | 93.99 |
| | **(B)** | **81.51** | **93.99** |
| | **Total (A + B)** | **111.54** | **121.99** |

**Note:**

The management based on internal assessment/external legal opinion does not expect these demands / claims to succeed. Claims, where the possibility of outflow of resources embodying economic benefits is remote, have not been considered in contingent liability.

**(ii)** The Company had received following demand orders from Maharashtra Sales Tax Department for disputes relating to the movement of goods from the Plant/ Mother warehouse (MWH) situated in Maharashtra to the CFAs for sale of goods made by the company in the states other than Maharashtra, where applicable taxes have been paid as per the provisions of law. The department alleged that the movement of goods was to fulfil pre-existing orders in the destination States, and were therefore in the nature of inter - state sales. The Company contends that the movement of goods from Maharashtra was not pursuant to any contract /order from customers in other States hence the understanding of operations/systems recorded in the assessment orders are not factually correct. The Company's tax payment methodology in respect of the goods sold is adequately supported by robust legal grounds/precedents and in Company's opinion the said demands are unjustified.



Notes to the Financial Statements

for the year ended December 31, 2025

## 25. (ii) *(Contd.)*

Thus considering the favorable orders from MVAT Tribunal and based on the legal advice the Company has not made any provision in the books for the year ended December 31, 2025 and the possibility of outflow of resources embodying economic benefits is considered to be remote. During the year, the company has received favourable orders from Customs, Excise and Service Tax Appellate Tribunal (CESTAT) Delhi and the year wise status is as below:

₹ in Crore

| Financial Year | Amount of demand (including interest) as at December 31, 2025 | Status |
|---|---|---|
| 2007-08 | 306.71 | The Company had received favourable orders from Maharashtra Sales Tax Tribunal (MSTT) against which the department filed appeals with Central Sales Tax Appellate Authority, Delhi (CSTAA). CESTAT order received in favor of Company. |
| 2009-10 | 255.50 | |
| 2010-11 | 263.63 | |
| 2011-12 | 474.64 | |
| 2012-13 | 578.05 | |
| 2013-14 | 485.22 | |
| 2014-15 | 528.34 | |
| 2015-16 | 510.69 | |
| 2016-17 | 565.00 | The Company had received favourable orders from MSTT on September 19, 2024. |
| 2017-18 (Apr-17 to Jun-17) | 163.47 | The Company had received favourable order from MSTT against which department had filed the appeal with CSTAA. CESTAT order received in favor of Company. |
| **Total** | **4,131.25** | |

## 26. Details of dues to micro enterprises and small enterprises as defined under The Micro, Small and Medium Enterprises Development (MSMED) Act 2006*#

| Particulars | | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|---|
| a. | The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each accounting year | | |
| | - Principal amount due to micro and small enterprises | 0.35 | 0.75 |
| | - Interest due on above | 0.01 | 0.02 |
| b. | The amount of interest paid by the buyer in terms of section 16 of the Micro and Small Enterprise Development Act, 2006, along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year. | - | - |
| c. | The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under Micro and Small Enterprise Development Act, 2006. | - | - |
| d. | The amount of interest accrued and remaining unpaid at the end of each accounting year | 0.01 | 0.02 |
| e. | The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under section 23 of Micro and Small Enterprise Development Act, 2006. | - | - |

* The company has the process of identification of suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006, by obtaining confirmations from all suppliers. Information has been collated only to the extent of information received.

# The Company had awarded certain works contracts to vendors who are registered under the Micro, Small and Medium Enterprises Development Act, 2006. Since, the scope of the said Act does not effectively extend to works contract, the payment and the reporting obligations thereunder would also not apply to such retention monies and hence the same has been accordingly reported.

# Notes to the Financial Statements
for the year ended December 31, 2025

## 27 Employee benefits

**I) Defined contribution plan**

Contribution to Provident and Other Funds in Note 18 includes ₹ 0.91 Crore (December 31, 2024: ₹ 0.91 Crore) for ESIC and Labour Welfare Fund. Note 21 includes Insurance ₹ 3.92 Crore (December 31, 2024: ₹ 3.61 Crore) for Medical Insurance benefits and post retiral medical benefit scheme.

**II) Defined benefit plan**

**A) General description of defined benefit plan**

**i) Gratuity**

The Company operates gratuity plan wherein every employee is entitled to the benefit equivalent to fifteen days/one month salary last drawn for each completed year of service depending on the date of joining. The same is payable on termination of service, retirement or death, whichever is earlier. The benefit vests after five years of continuous service.

The Company has a defined benefit gratuity plan in India (funded).The Company defined benefit gratuity plan is a final salary plan for India employees, which requires contributions to be made to a separately administered fund.

The gratuity plan is governed by the Payment of Gratuity Act, 1972. Under the act, employee who has completed five years of service is entitled to specific benefit. The level of benefits provided depends on the member's length of service and salary at retirement age. The fund has the form of a trust and it is governed by the Board of Trustees, which consists of an equal number of employer and employee representatives. The Board of Trustees is responsible for the administration of the plan assets and for the definition of the investment strategy.

**ii) Provident Fund**

The Provident Fund (administered by a trust) is a defined benefit scheme whereby the Company deposits amounts determined as a fixed percentage of basic pay to the fund every month. The actuary has provided a valuation and determined the fund assets and obligations as at December 31, 2025. Further, it has been determined that the yield on the investments of the trust is adequate to meet the obligation towards the payment of the interest rate notified by the government.

**iii) Pension Benefit to Past Employees**

Under the Company's pension scheme, certain categories of employees, on retirement, are eligible for monthly differential pension which is accounted for on an actuarial basis as on the Balance Sheet date.

**iv) Compensated absences**

The Company has a policy on compensated absences which is applicable to its executives joined upto a specified period and all workers. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an independent actuary at each Balance Sheet date using projected unit credit method on the additional amount expected to be paid as a result of the unused entitlement that has accumulated at the Balance Sheet date.





# Notes to the Financial Statements
for the year ended December 31, 2025

## 27 Employee benefits *(Contd.)*

**B) The plans in India typically expose the Company to actuarial risks such as: investment risk, interest rate risk, longevity risk and salary risk.**

| | |
|---|---|
| Investment risk | The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to government bond yields; if the return on plan asset is below this rate, it will create a plan deficit. Currently the plan has a relatively balanced investment in equity securities and debt instruments. |
| Interest risk | A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments. |
| Longevity risk | The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability. |
| Salary risk | The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability. |

**C) Amounts recognized in financial statements respect of these defined benefit plans are as follows:**

**a) The following tables set out the funded status of the gratuity, pension, compensated absences and provident fund plans and the amounts recognized in the Company's financial statements**

₹ in Crore

| Particulars | As at December 31, 2025 | | | | As at December 31, 2024 | | | |
|---|---|---|---|---|---|---|---|---|
| | Gratuity (Funded) | Pension benefit (Non-funded) | Compensated absences (Non-funded) | Provident Fund (Funded) | Gratuity (Funded) | Pension benefit (Non-funded) | Compensated absences (Non-funded) | Provident Fund (Funded) |
| **Change in the present value of the defined benefit obligation and fair value of plan assets:** | | | | | | | | |
| **Obligation at period beginning** | **62.90** | **1.37** | **1.46** | **272.07** | **60.45** | **1.32** | **1.24** | **253.94** |
| Current service cost | 5.37 | (0.14) | (0.03) | 11.43 | 4.79 | 0.05 | 0.39 | 8.99 |
| Past service cost | 19.49 | - | - | - | - | - | - | - |
| Interest cost | 4.01 | - | - | 22.96 | 4.04 | - | - | 20.66 |
| Actuarial (gain) / loss due to change in assumptions | 0.32 | - | - | - | 1.25 | - | - | - |
| Experience (gain) / loss on plan liability | (0.76) | - | - | - | 0.35 | - | - | - |
| Benefits paid | (9.31) | - | (0.11) | (34.39) | (3.34) | - | (0.17) | (34.60) |
| Contributions by employee | - | - | - | 15.63 | - | - | - | 14.95 |
| Transfer in / (out) | (2.73) | - | - | 15.57 | (4.64) | - | - | 8.13 |
| **Obligation at period end** | **79.29** | **1.23** | **1.32** | **303.27** | **62.90** | **1.37** | **1.46** | **272.07** |
| **Change in plan assets** | | | | | | | | |
| **Plan assets at period beginning, at fair value** | **40.53** | **-** | **-** | **272.07** | **40.69** | **-** | **-** | **252.43** |
| Expected return on plan assets | 2.80 | - | - | 22.96 | 2.96 | - | - | 20.54 |
| Actuarial (loss) / gain on plan assets | (0.09) | - | - | - | (0.14) | - | - | - |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 27 Employee benefits *(Contd.)*

₹ in Crore

| Particulars | As at December 31, 2025 | | | | As at December 31, 2024 | | | |
|---|---|---|---|---|---|---|---|---|
| | Gratuity | Pension benefit | Compensated absences | Provident Fund | Gratuity | Pension benefit | Compensated absences | Provident Fund |
| | (Funded) | (Non-funded) | (Non-funded) | (Funded) | (Funded) | (Non-funded) | (Non-funded) | (Funded) |
| Asset gain / (loss) | - | - | - | - | - | - | - | - |
| Contributions by employer | 5.47 | - | - | 11.43 | 5.00 | - | - | 10.62 |
| Contributions by employee | - | - | - | 15.63 | - | - | - | 14.95 |
| Benefits paid | (9.31) | - | - | (34.39) | (3.34) | - | - | (34.60) |
| Transfer in / (out) | (2.73) | - | - | 15.57 | (4.64) | - | - | 8.13 |
| **Plan assets at period end, at fair value** | **36.67** | **-** | **-** | **303.27** | **40.53** | **-** | **-** | **272.07** |
| **Change in the present value of the defined benefit obligation and fair value of plan assets:** | | | | | | | | |
| Fair value of plan assets at the end of the period | 36.67 | - | - | 303.27 | 40.53 | - | - | 272.07 |
| Present value of the defined benefit obligation at the end of the period | (79.29) | (1.23) | (1.32) | (303.27) | (62.90) | (1.37) | (1.46) | (272.07) |
| **Asset / (liability) recognized in the Balance Sheet** | **(42.62)** | **(1.23)** | **(1.32)** | **-** | **(22.37)** | **(1.37)** | **(1.46)** | **-** |

**b) Amount for the year ended December 31, 2025 and December 31, 2024 recognized in the Statement of Profit and Loss (including amount recovered from group) under employee benefits expense and exceptional items**

₹ in Crore

| Particulars | For the year ended December 31, 2025 | | | | For the year ended December 31, 2024 | | | |
|---|---|---|---|---|---|---|---|---|
| | Gratuity | Pension benefit | Compensated absences | Provident Fund | Gratuity | Pension benefit | Compensated absences | Provident Fund |
| | (Funded) | (Non-funded) | (Non-funded) | (Funded) | (Funded) | (Non-funded) | (Non-funded) | (Funded) |
| Current service cost | 5.37 | (0.14) | (0.03) | 11.43 | 4.79 | 0.05 | 0.39 | 8.99 |
| Past service cost | 19.49 | - | - | - | - | - | - | - |
| Interest cost | 4.01 | - | - | 22.96 | 4.04 | - | - | 20.66 |
| Interest income | (2.80) | - | - | (22.96) | (2.96) | - | - | (20.54) |
| (Gains) / losses - other long term benefits | - | - | - | - | - | - | - | - |
| **Total cost recognised in the Statement of Profit and Loss** | **26.07** | **(0.14)** | **(0.03)** | **11.43** | **5.87** | **0.05** | **0.39** | **9.11** |





# Notes to the Financial Statements

for the year ended December 31, 2025

## 27 Employee benefits *(Contd.)*

**c) Amount for the year ended December 31, 2025 and December 31, 2024 recognized in the other comprehensive income:**

₹ in Crore

| Particulars | For the year ended December 31, 2025 | | | | For the year ended December 31, 2024 | | | |
|---|---|---|---|---|---|---|---|---|
| | Gratuity | Pension benefit | Compensated absences | Provident Fund | Gratuity | Pension benefit | Compensated absences | Provident Fund |
| | (Funded) | (Non-funded) | (Non-funded) | (Funded) | (Funded) | (Non-funded) | (Non-funded) | (Funded) |
| Actuarial (gain) / loss due to demographic assumption changes in defined benefit obligation | (0.36) | - | - | - | (0.10) | - | - | - |
| Actuarial (gain) / loss due to Financial Assumption changes in Defined benefit obligation | 0.68 | - | - | - | 1.35 | - | - | - |
| Actuarial (gain) / loss due to experience adjustment on defined benefit obligation | (0.76) | - | - | - | 0.35 | - | - | - |
| Actuarial (loss) / gain on plan assets | 0.09 | - | - | - | 0.14 | - | - | - |
| **Total actuarial (gain)/loss included in OCI** | **(0.35)** | **-** | **-** | **-** | **1.74** | **-** | **-** | **-** |

**d) Major categories of plan assets are as follows**

**Provident fund**

₹ in Crore

| Particulars | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|
| **The composition of plan assets** | | |
| Special Deposit | 17.32 | 17.32 |
| Investment in Government and Debt Securities | 242.71 | 213.60 |
| Investment in Mutual Funds | 19.16 | 15.06 |
| Bank Balance | 13.79 | 11.38 |
| Others - Receivables / (Payables) | 11.38 | 17.24 |
| **Total** | **304.36** | **274.60** |

**Gratuity**

₹ in Crore

| Particulars | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|
| **The composition of plan assets** | | |
| Special Deposits | 0.76 | 0.76 |
| Deposit with insurance schemes | 34.65 | 38.77 |
| Bank Balance | 0.75 | 0.79 |
| Others - Receivables / (Payables) | 0.51 | 0.21 |
| **Total** | **36.67** | **40.53** |

Each year, the Board of Trustees reviews the level of funding in the India gratuity plan. Such a review includes the asset-liability matching strategy and investment risk management policy. This includes employing the use of annuities and longevity swaps to manage the risks. The fair values of the above investments are determined based on prices in active markets. The Board of Trustees decides its contribution based on the results of this annual review. Generally, it aims to have a portfolio mix of equity instruments and debt instruments. The Board of Trustees aim to keep annual contributions relatively stable at a level such that no plan deficits (based on valuation performed) will arise.

# Notes to the Financial Statements

for the year ended December 31, 2025

## 27 Employee benefits *(Contd.)*

**e) The principal assumptions used for the purposes of the actuarial valuations as at December 31, 2025 and December 31, 2024 were as follow:**

| Particulars | As at December 31, 2025 | | | As at December 31, 2024 | | |
|---|---|---|---|---|---|---|
| | Gratuity (Funded) | Compensated absences (Non-funded) | Provident Fund (Funded) | Gratuity (Funded) | Compensated absences (Non-funded) | Provident Fund (Funded) |
| Discount rate | 6.76% | 6.76% | 6.76% | 6.90% | 6.90% | 6.90% |
| Rate of increase in compensation level | Executives - 10.00% Workers - 4% | Executives - 10.00% Workers - 4% | Executives - 10.00% Workers - 4% | Executives - 10.00% Workers - 4% | Executives - 10.00% Workers - 4% | Executives - 10.00% Workers - 4% |
| Interest Rate Guarantee | - | - | 8.25% | - | - | 8.25% |

**f) Sensitivity Analysis**

₹ in Crore

| Particulars | As at December 31, 2025 | | | As at December 31, 2024 | | |
|---|---|---|---|---|---|---|
| | Gratuity (Funded) | Compensated absences (Non-funded) | Provident Fund (Funded) | Gratuity (Funded) | Compensated absences (Non-funded) | Provident Fund (Funded) |
| **Discount per annum** | | | | | | |
| a) Increase by 100 basis points | 74.63 | 1.24 | 298.20 | 59.38 | 1.39 | 268.74 |
| b) Decrease by 100 basis points | 84.50 | 1.41 | 315.82 | 66.84 | 1.54 | 284.24 |
| **Rate of increase in compensation** | | | | | | |
| a) Increase by 100 basis points | 82.96 | 1.35 | - | 65.93 | 1.54 | - |
| b) Decrease by 100 basis points | 75.79 | 1.24 | - | 60.03 | 1.39 | - |
| **Interest Rate Guarantee** | | | | | | |
| a) Increase by 100 basis points | - | - | 315.17 | - | - | 283.73 |
| b) Decrease by 100 basis points | - | - | 298.20 | - | - | 268.77 |

The sensitivity analyses above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the year and may not be representative of the actual change. It is based on a change in the key assumption while holding all other assumptions constant. When calculating the sensitivity to the assumption, the same method used to calculate the liability recognized in the Balance Sheet has been applied. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared with the previous year.

Gratuity plan: ₹ 10.82 Crore (December 31, 2024: ₹ 6.58 Crore)

Provident fund: ₹ 12.76 Crore (December 31, 2024: ₹ 11.85 Crore)



Notes to the Financial Statements

for the year ended December 31, 2025

## 27 Employee benefits *(Contd.)*

**g) Maturity profile of defined benefit obligation is as follows**

₹ in Crore

| Particulars | As at December 31, 2025 | | As at December 31, 2024 | |
|---|---|---|---|---|
| | Gratuity (Funded) | Provident Fund (Funded) | Gratuity (Funded) | Provident Fund (Funded) |
| Year 1 | 7.17 | 26.84 | 9.54 | 37.47 |
| Year 2 | 9.27 | 31.40 | 5.45 | 43.84 |
| Year 3 | 7.27 | 31.23 | 8.17 | 43.60 |
| Year 4 | 9.00 | 30.09 | 5.78 | 42.01 |
| Year 5 | 8.92 | 20.12 | 6.62 | 28.08 |
| Year 6 - 10 | 45.40 | 108.35 | 35.16 | 151.26 |
| Years 10 and above | 43.71 | - | 34.90 | - |

## 28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below:

| | | | |
|---|---|---|---|
| **A.** | **Name of the related party and nature of relationship where control exist** | | |
| a) | Holding companies | Castrol Limited, U.K . (Holding Company of Castrol India Limited) | |
| | | Castrol Group Holdings Limited (formerly known as Burmah Castrol PLC- Holding Company of Castrol Limited, U.K.) | |
| | | BP PLC (Holding Company of Castrol Group Holdings Limited), Ultimate Holding Company | |
| **B.** | **Name of the related party and nature of relationship where transaction have taken place** | | |
| a) | Fellow subsidiaries (where transaction exists) | AsPac Lubricants (Malaysia) Sdn. Bhd. | BP Shipping Ltd |
| | | BP - Castrol (Thailand) Limited | Castrol (Shanghai) Management Co. Ltd |
| | | BP (China) Industrial Lubricants Limited | Castrol Belgium BV |
| | | Castrol Madeni Yaðlar Ticaret A.Þ | BP Marine Limited |
| | | BP Business Solutions India Private Limited | Castrol Germany GmbH |
| | | BP Exploration Alpha Ltd - India Branch (L) | Castrol Singapore Pte Limited |
| | | Castrol France Sas | Lubricants UK Limited |
| | | Castrol Denmark A/S Formally Known as Nordic Lubricants AS | BP Lubricants USA Inc. |
| | | BP India Private Limited | |
| | | BP International Limited | |
| | | BP International Limited - OB&C UK | |
| | | BP Japan KK | |
| | | Bp Middle East Llc | |
| | | BP Korea Limited | |
| b) | Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company | Reliance BP Mobility Limited (RBML) | |
| | | RBML Solutions India Limited (Subsidiary of RBML) | |
| c) | Post employment benefit funds | Castrol India Ltd. Employees' Provident Fund | |
| | | Castrol India Ltd. Staff Pension Fund | |
| | | Castrol India Ltd. Employees' Gratuity Fund | |

# Notes to the Financial Statements

for the year ended December 31, 2025

**28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)***

| | | | |
|---|---|---|---|
| d) | Key management personnel (where transaction exists) | Sandeep Sangwan | Managing Director (Till October 31, 2024) |
| | | Deepesh Baxi | Chief Financial Officer & Whole time Director (Till March 13, 2025) |
| | | Saugata Basuray | Wholetime Director (Upto December 31, 2025) Wholetime Director & Interim Chief Executive Officer |
| | | Mayank Pandey | Whole time Director (Till July 30, 2024) |
| | | Kedar Lele | Managing Director (w.e.f November 01, 2024) (Till December 31, 2025) |
| | | Vishal Thakkar | Interim Chief Financial Officer (w.e.f June 12, 2025) (Till July 27, 2025) |
| | | Mrinalini Srinivasan | Chief Financial Officer & Wholetime Director (w.e.f July 28, 2025) |
| e) | Non-executive Independent Directors* | Rakesh Makhija | R. Gopalakrishnan (Till September 30, 2024) |
| | | Uday Khanna (Till September 30, 2024) | Sangeeta Talwar |
| | | Satyavati Berera (w.e.f October 01, 2024) | |
| f) | Non-executive non-Independent Directors* | Sashi Mukundan (Till October 31, 2024) | Kartikeya Dube (w.e.f July 30, 2024) |
| | | Udayan Sen (Till February 28, 2025) | Nicola Buck (Till June 11, 2024) |
| | | Nisha Trivedi (w.e.f February 3, 2025) | |

* Non-executive directors are disclosed as Key Management Personnel as per the requirement of Ind AS 24. However, they are not key management personnel as per Companies Act, 2013.

**B. Transactions with related parties**

| Particulars | Nature of Relationship | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Purchase of materials / traded goods#** | | | |
| Castrol Germany GmbH | Fellow subsidiary | 55.23 | 46.91 |
| Castrol Belgium BV | Fellow subsidiary | 19.49 | 30.06 |
| Castrol France Sas | Fellow subsidiary | 7.40 | 10.13 |
| Bp Middle East | Fellow subsidiary | 0.05 | - |
| BP Lubricants USA Inc | Fellow subsidiary | 6.72 | 9.51 |
| Bp China industrial Lubricants Ltd. | Fellow subsidiary | 0.07 | 1.40 |
| BP Japan K.K | Fellow subsidiary | 0.06 | 0.03 |
| BP Korea Limited | Fellow subsidiary | 0.26 | 0.44 |
| AsPac Lubricants (Malaysia) Sdn. Bhd. | Fellow subsidiary | 0.05 | - |
| Castrol Singapore Pte Limited | Fellow subsidiary | 0.30 | 1.00 |
| BP - Castrol (Thailand) Limited | Fellow subsidiary | 1.37 | 1.57 |
| Castrol Madeni Yaðlar Ticaret A.Þ | Fellow subsidiary | 0.74 | - |
| **Total** | | **91.74** | **101.05** |
| **Sale of goods (net of returns)** | | | |
| Reliance BP Mobility Limited | Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company | 17.30 | 15.15 |
| RBML Sales India Limited | Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company | 0.03 | - |
| Castrol (Shanghai) Management Co. Ltd | Fellow subsidiary | 1.07 | 0.79 |
| BP - Castrol (Thailand) Limited | Fellow subsidiary | 1.59 | 0.47 |





# Notes to the Financial Statements

for the year ended December 31, 2025

**28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)***

| Particulars | Nature of Relationship | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|
| Bp Middle East Llc | Fellow subsidiary | 0.24 | 0.51 |
| AsPac Lubricants (Malaysia) Sdn. Bhd. | Fellow subsidiary | 0.33 | 0.60 |
| **Total** | | **20.56** | **17.52** |
| **Receiving of services** | | | |
| BP International Limited* | Fellow subsidiary | 13.92 | 15.38 |
| Castrol Germany GmbH | Fellow subsidiary | 0.57 | 0.50 |
| Lubricants UK Limited | Fellow subsidiary | 2.48 | 0.57 |
| BP Business Solutions India Private Limited | Fellow subsidiary | 15.57 | 15.45 |
| BP Shipping Ltd | Fellow subsidiary | 0.71 | 0.45 |
| Castrol Denmark A/S Formally Known as Nordic Lubricants AS | Fellow subsidiary | - | 0.19 |
| BP India Private Limited | Fellow subsidiary | 0.86 | 0.85 |
| **Total** | | **34.11** | **33.39** |
| * Includes hardware transfer cost from BP International of ₹ Nil (Previous year ₹ 3.05 Crore) | | | |
| **Rendering of services (Including reimbursement of expenses)** | | | |
| Castrol Limited, U.K | Holding company | 3.22 | 2.93 |
| BP International Limited | Fellow subsidiary | 2.14 | 1.12 |
| BP India Private Limited | Fellow subsidiary | 0.67 | 7.28 |
| Lubricants UK Limited | Fellow subsidiary | 3.28 | 1.97 |
| Castrol France Sas | Fellow subsidiary | - | 0.55 |
| Castrol Singapore Pte Limited | Fellow subsidiary | 0.03 | - |
| BP Exploration (Alpha) Limited | Fellow subsidiary | 1.54 | 1.56 |
| **Total** | | **10.88** | **15.41** |
| **Contribution to funds** | | | |
| Castrol India Ltd. Employees' Provident Fund | Post employment benefit funds | 11.43 | 10.62 |
| Castrol India Ltd. Staff Pension Fund | Post employment benefit funds | 2.52 | 2.71 |
| Castrol India Ltd. Employees' Gratuity Fund | Post employment benefit funds | 5.47 | 5.00 |
| **Total** | | **19.42** | **18.33** |
| **Commission income** | | | |
| BP Marine Limited | Fellow subsidiary | 2.16 | 4.17 |
| **Total** | | **2.16** | **4.17** |
| **Overridding Commission** | | | |
| Reliance BP Mobility Limited | Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company | 4.12 | 3.23 |
| RBML Sales India Limited | Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company | 0.05 | - |
| **Total** | | **4.17** | **3.23** |
| **Dividend (On payment Basis)** | | | |
| Castrol Limited, U.K. | Holding company | 655.79 | 403.56 |
| **Total** | | **655.79** | **403.56** |
| **Royalty expense** | | | |
| Castrol Limited, U.K. | Holding company | 132.49 | 129.31 |
| **Total** | | **132.49** | **129.31** |

* Share value expenses to be borne by BP PLC

# Notes to the Financial Statements

for the year ended December 31, 2025

## 28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)*

| Particulars | Nature of Relationship | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Share value and share match payments*** | | | |
| BP PLC | Ultimate Holding Company | 3.74 | 23.56 |
| **Total** | | **3.74** | **23.56** |
| **Remuneration to key management personnel@ ##** | | | |
| Sandeep Sangwan | Key management personnel | - | 8.87 |
| Mrinalini Srinivasan | Key management personnel | 1.68 | - |
| Mayank Pandey | Key management personnel | - | 2.37 |
| Deepesh Baxi | Key management personnel | 1.48 | 3.84 |
| Vishal Thakkar | Key management personnel | 0.22 | - |
| Saugata Basuray | Key management personnel | 3.92 | 3.53 |
| Kedar Lele | Key management personnel | 7.93 | 0.68 |
| **Total** | | **15.23** | **19.29** |
| **Bifurcation of long term and short term benefits** | | | |
| Short-term employee benefits | | 13.21 | 13.01 |
| Post-employment benefits | | 0.52 | 0.64 |
| Share-based payment transactions | | 1.50 | 5.64 |
| **Total** | | **15.23** | **19.29** |
| **Commission and Director sitting fees to non-executive Independent directors#** | | | |
| R Gopalakrishnan### | Key management personnel | - | 0.27 |
| Uday Khanna | Key management personnel | - | 0.20 |
| Rakesh Makhija | Key management personnel | 0.44 | 0.30 |
| Sangeeta Talwar### | Key management personnel | 0.38 | 0.30 |
| Satyavati Berera | Key management personnel | 0.38 | 0.07 |
| **Total** | | **1.20** | **1.14** |

| Dividend to Directors | No. of share held at December 31, 2025 | No. of share held at December 31, 2024 | For the year ended December 31, 2025 ₹ in Crore | For the year ended December 31, 2024 ₹ in Crore |
|---|---|---|---|---|
| Uday Khanna (Director till September 30, 2024) | - | 1,600 | - | * |
| Saugata Basuray | 400 | 400 | * | * |
| Mayank Pandey (Director till July 30, 2024) | - | 100 | - | * |
| Rakesh Makhija | 2,000 | - | * | - |
| Sangeeta Talwar | 5,000 | - | * | - |
| Kedar Lele (Director till December 31, 2025) | 8,000 | - | 0.01 | - |
| Udayan Sen (Director till February 28, 2025) | - | 1,508 | - | * |
| **Total** | | | **0.02** | ***** |

* Amounts are less than the denomination disclosed

@ The remuneration to key management personnel includes share value plan and contribution of company towards share match on taxable basis.

# Commission and sitting fees to non- executive Independent directors

## Exclusive of provision for liability in respect of leave earned and gratuity, since this is based on actuarial valuation done on an overall basis for all employees, performance bonus / incentive amount considered on payment basis.

### Includes travel reimbursement





# Notes to the Financial Statements

for the year ended December 31, 2025

## 28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)*

| Balance as at year ended | Nature of relationship | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|---|
| **Amounts payable** | | | |
| BP PLC | Ultimate Holding Company | - | 5.41 |
| Castrol Limited, U.K. | Holding company | 112.61 | 109.90 |
| Castrol Germany GmbH | Fellow subsidiary | 9.91 | 3.20 |
| Castrol India Ltd. Employees' Provident Fund | Post employment benefit funds | 2.20 | 2.14 |
| Castrol India Ltd. Staff Pension Fund | Post employment benefit funds | 0.19 | 0.22 |
| Castrol India Ltd. Employees' Gratuity Fund | Post employment benefit funds | 0.44 | 0.44 |
| Deepesh Baxi | Key management personnel | - | 0.60 |
| Kedar Lele | Key management personnel | 2.17 | 0.67 |
| Mrinalini Srinivasan | Key management personnel | 0.26 | - |
| Saugata Basuray | Key management personnel | 0.63 | 0.59 |
| Rakesh Makhija# | Key management personnel | 0.28 | 0.20 |
| Sangeeta Talwar# | Key management personnel | 0.22 | 0.18 |
| Satyavati Berera# | Key management personnel | 0.22 | 0.05 |
| BP - Castrol (Thailand) Limited | Fellow subsidiary | 0.54 | 0.27 |
| Castrol Singapore Pte Limited | Fellow subsidiary | - | 0.30 |
| Castrol Belgium Bv | Fellow subsidiary | 1.70 | 3.10 |
| Castrol France Sas | Fellow subsidiary | - | 1.56 |
| BP India Private Limited | Fellow subsidiary | 0.26 | 0.85 |
| BP International Limited | Fellow subsidiary | 16.27 | 3.49 |
| BP Lubricants USA Inc | Fellow subsidiary | 1.83 | 2.58 |
| Bp Shipping Limited | Fellow subsidiary | 0.58 | - |
| BP Korea Ltd | Fellow subsidiary | - | 0.07 |
| Lubricants UK Limited | Fellow subsidiary | 2.04 | 1.24 |
| Castrol Denmark A/S Formally Known as Nordic Lubricants AS | Fellow subsidiary | - | 0.18 |
| Castrol Madeni Yaðlar Ticaret A.Þ | Fellow subsidiary | 0.74 | - |
| Bp Middle East Llc | Fellow subsidiary | 0.05 | - |
| BP Business Solutions India Private Limited | Fellow subsidiary | 4.24 | 16.69 |
| **Total** | | **157.38** | **153.93** |
| # Commission and sitting fees to non-executive Independent directors | | | |
| **Amounts receivable** | | | |
| Bp Middle East Llc | Fellow subsidiary | 0.25 | - |
| BP India Private Limited | Fellow subsidiary | 0.09 | 0.75 |

# Notes to the Financial Statements

for the year ended December 31, 2025

## 28. Related party disclosures as required under Ind AS - 24, "Related Party Disclosures" are given below: *(Contd.)*

| Balance as at year ended | Nature of relationship | As at December 31, 2025 ₹ in Crore | As at December 31, 2024 ₹ in Crore |
|---|---|---|---|
| Reliance BP Mobility Limited | Joint venture of BP Global Investment Limited, a subsidiary of Ultimate Holding Company | 2.00 | 1.76 |
| BP Marine Limited | Fellow subsidiary | 0.45 | 1.33 |
| Lubricants UK Limited | Fellow subsidiary | 0.37 | 1.14 |
| BP Exploration (Alpha) Limited | Fellow subsidiary | 0.19 | 0.17 |
| BP International Limited | Fellow subsidiary | 0.50 | 0.04 |
| Castrol (Shanghai) Management Co. Ltd | Fellow subsidiary | - | 0.32 |
| BP - Castrol (Thailand) Limited | Fellow subsidiary | 1.23 | - |
| Castrol France Sas | Fellow subsidiary | - | 0.07 |
| Loan receivable from Saugata Basuray | Key Management Personnel | - | 0.01 |
| **Total** | | **5.08** | **5.59** |
| Share based payments - Other equity * | | | |
| BP PLC | Ultimate Holding Company | 103.30 | 101.00 |
| **Total** | | **103.30** | **101.00** |

* Considered as deemed contribution since the cost of the share value plan is borne by the Ultimate Holding Company.

## 29. Financial risk management

The Company's activities expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The Company's focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The Company has constituted a Risk Management Committee, which is responsible for developing and monitoring the Company's risk management policies. The Company's risk management policies are established to identify and analyze the risks faced by the Company, to set and monitor appropriate risk limits and controls, periodically review the changes in market conditions and reflect the changes in the policy accordingly. The key risks and mitigating actions are also placed before the Audit Committee of the Company. The primary market risk to the Company is foreign exchange risk. The Company uses forward contracts to mitigate foreign exchange related risk exposures. The Company's exposure to credit risk is influenced mainly by the individual characteristic of each customer.

### A. Liquidity risk

The company's principal sources of liquidity are cash and cash equivalents and the cash flow that is generated from operations. The company has no outstanding bank borrowings. The company believes that the working capital is sufficient to meet its current requirements. Accordingly, no liquidity risk is perceived.

As of December 31, 2025 and December 31, 2024, the Company had a working capital of ₹ 936.45 Crore and ₹ 1,292.57 Crore respectively including cash and cash equivalents of ₹ 426.62 Crore and ₹ 452.87 Crore respectively.

The table below provides details regarding the contractual maturities of significant financial liabilities as on reporting date.

₹ In Crore

| Particulars | On demand | Less than 1 year | 1 to 5 years | More than 5 years | Total |
|---|---|---|---|---|---|
| **As December 31, 2025** | | | | | |
| Financial liabilities | (17.86) | (501.28) | (21.43) | (20.11) | (560.68) |
| Trade payables | - | (786.05) | - | - | (786.05) |





# Notes to the Financial Statements

for the year ended December 31, 2025

## 29. Financial risk management *(Contd.)*

₹ In Crore

| Particulars | On demand | Less than 1 year | 1 to 5 years | More than 5 years | Total |
|---|---|---|---|---|---|
| **As December 31, 2024** | | | | | |
| Financial liabilities | (16.10) | (442.88) | (42.26) | (19.72) | (520.96) |
| Trade payables | - | (703.65) | - | - | (703.65) |

### B. Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises two types of risk: foreign currency risk and other price risk, such as commodity risk. Financial instruments that are affected by market risk include deposits and foreign exchange forward contracts. The sensitivity analysis in the following sections relate to the position as at December 31, 2025 and December 31, 2024. The analyses exclude the impact of movements in market variables on: the carrying values of gratuity and other post-retirement obligations; provisions; and the non-financial assets and liabilities. This is based on the financial assets and financial liabilities held at December 31, 2025 and December 31, 2024.

### B1. Foreign Currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Company's exposure to the risk of changes in foreign exchange rates relates primarily to the Company's operating activities (primarily material costs are denominated in a foreign currency). The Company manages its foreign currency risk by hedging certain material costs that are expected to occur within a range of 1 to 3 month period for hedges of purchases of base oil and additives. When a derivative is entered into for the purpose of being a hedge, the Company negotiates the terms of those derivatives to match the terms of the hedged exposure. For hedges of highly probable transactions the derivatives cover the period of exposure from the point of the commitment up to the point of settlement of the resulting payable that is denominated in the foreign currency. At December 31, 2025 and December 31, 2024 the Company has hedged significant amount of foreign currency purchases for 1 to 3 months. Those hedged purchases were highly probable at the reporting date.This foreign currency risk is hedged by using foreign currency forward contracts. Details are as given below

| Hedged Foreign Currency exposure as at Balance Sheet Date | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|
| No of buy contracts relating to firm commitments for imports | 2 | 2 |
| Foreign currency - USD | 14,049,141 | 16,580,000 |
| ₹ Crore | 126.72 | 141.72 |

**Unhedged Foreign Currency exposure as at Balance Sheet Date**

The following table analyses the foreign currency risk from financial instruments

| Particulars | As at December 31, 2025 | | As at December 31, 2024 | |
|---|---|---|---|---|
| | Foreign currency | ₹ in Crore | Foreign currency | ₹ in Crore |
| **Trade payables** | | | | |
| USD | 13,243,072 | 118.99 | 12,187,255 | 104.34 |
| EURO | 1,120,196 | 11.83 | 809,803 | 7.19 |
| GBP | 180,865 | 2.19 | - | - |
| SGD | 7,339 | 0.05 | 47,146 | 0.30 |
| **Trade receivables / Other financial assets** | | | | |
| USD | 3,818,132 | 34.31 | 4,627,682 | 39.62 |

# Notes to the Financial Statements
for the year ended December 31, 2025

## 29. Financial risk management *(Contd.)*

| Particulars | As at December 31, 2025 | | As at December 31, 2024 | |
|---|---|---|---|---|
| | Foreign currency | ₹ in Crore | Foreign currency | ₹ in Crore |
| **Advances given** | | | | |
| USD | 211,416 | 1.90 | 268,987 | 2.31 |
| EURO | 94,500 | 1.00 | 367,030 | 3.27 |
| GBP | - | - | 58,974 | 0.63 |

**Sensitivity Analysis**

The Company is mainly exposed to changes in USD and Euro. The sensitivity analyses demonstrate a reasonably possible change in USD and Euro exchange rates, with all other variables held constant. 5% appreciation/ depreciation of USD and Euro with respect to functional currency of the Company will have impact of following decrease/increase in profit:

₹ in Crore

| Particulars | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|
| USD | 4.14 | 3.12 |
| EURO | 0.54 | 0.20 |
| **Total** | **4.68** | **3.32** |

**B2. Commodity Price risk**

The company exposure to market risk with respect to commodity prices primarily arises from the fact that we are a purchaser of base oil. This is a commodity product whose prices can fluctuate sharply over short periods of time. The prices of base oil generally fluctuate in line with commodity cycles. Material purchases forms the largest portion of our operating expenses. The Company evaluates and manages commodity price risk exposure through operating procedures and sourcing policies. The Company has not entered into any commodity derivative contracts. It may also be noted that there are no direct derivatives available for base oil, but there are derivatives for crude oil.

**C. Credit risk**

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company is exposed to credit risk from its operating activities (primarily trade receivables), deposits with banks and foreign exchange transactions. The Company's customer mainly consists of it distributors and Original Equipment Manufacturers (OEMs). The Company has a credit policy, approved by the Management that is designed to ensure that consistent processes are in place to measure and control credit risk.

The Company has trade relationships only with reputed third parties. The receivable balances are constantly monitored, resulting in an insignificant exposure of the Company to the risk of non-collectible receivables. Credit risk is managed through credit approvals, establishing credit limits, obtaining collaterals from the customers in the form of deposits and/or bank guarantees and periodically monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business. The maximum credit exposure associated with financial assets is equal to the carrying amount.

The Company historical experience of collecting receivables, supported by the level of default, is that credit risk is low across territories and so trade receivables are considered to be a single class of financial assets. The Company makes an allowance for doubtful debts using expected credit loss model and also on a case to case basis, when required, for major clients. As a practical expedient the company follows the policy of providing for trade receivable which are due for more than 90 days.

In case of cash and cash equivalents, since the amount is in form of demand deposits with bank there is no credit risk perceived. Hence no provision for expected credit loss has been made.





# Notes to the Financial Statements
for the year ended December 31, 2025

## 30. (A) Fair value measurement

The carrying value and fair value of financial instruments by categories as at December 31, 2025, & December 31, 2024 were as follows.

₹ in Crore

| Particulars | As at December 31, 2025 | | As at December 31, 2024 | |
|---|---|---|---|---|
| | Carrying value | Fair Value | Carrying value | Fair Value |
| **Assets** | | | | |
| Loans | 0.66 | 0.66 | 0.95 | 0.95 |
| Other financial assets | 9.28 | 9.28 | 9.44 | 9.44 |
| Foreign exchange forward contracts | 0.06 | 0.06 | 0.41 | 0.41 |
| Non Current Investment at fair value through OCI (Level 3) | 442.80 | 442.80 | 487.50 | 487.50 |
| **Total of Assets** | **452.80** | **452.80** | **498.30** | **498.30** |
| **Liabilities** | | | | |
| Other financial liabilities | 41.54 | 41.54 | 61.98 | 61.98 |
| **Total of Liabilities** | **41.54** | **41.54** | **61.98** | **61.98** |

The management assessed that cash and cash equivalents, loans, other balances with banks, trade receivables, trade payables, lease liabilities and other current liabilities/assets approximate their carrying amounts largely due to the short-term maturities of these instruments.

## (B) Fair value hierarchy

The Company does not have any financial instrument other than derivatives which are measured at fair value through Profit or loss. The fair value of such derivatives is categorised as level 2 based on the valuation technique used to arrive at the fair value.

The fair value of financial instruments (non current investments) that are measured on the basis of entity specific valuation using inputs that are not based on observable market data (unobservable inputs). Fair value of non current investment is determined basis revenue multiples and using the method of fair valuation as per INDAS 113.

A 1% change in the unobservable inputs used in fair valuation of Level 3 assets and liabilities does not have a significant impact in its value.

## 31. Equity settled share-based payments

**a) Share match plan**

During the year ended December 31, 2025 : 60,052 shares (December 31, 2024 : 63,682 shares) were purchased by employees at weighted average fair value of GBP 3.93 per share (December 31, 2024 : GBP 4.38 per share). The Company contribution during the year on such purchase of shares amounting to ₹ 1.44 Crore (December 31, 2024 : ₹ 1.51 Crore) has been charged under employee benefit expense under Note 18.

**b) Share value plan**

The expense recognised for employee services received during the year is shown in the following table:

₹ in Crore

| Particulars | For the year ended December 31, 2025 | For the year ended December 31, 2024 |
|---|---|---|
| Total expense recognised for equity settled share-based payment transaction (refer note 18) | 2.30 | 22.05 |

All share-based payments transactions relate to employee compensation.

# Notes to the Financial Statements

for the year ended December 31, 2025

## 31. Equity settled share-based payments *(Contd.)*

Fair values and associated details for restricted share units granted are as follows :

| Particulars | For the year ended December 31, 2025 | For the year ended December 31, 2024 |
|---|---|---|
| Share Value Plan | | |
| Number of units granted | 138,120 | 56,725 |
| Weighted average fair value | $4.85 | $5.92 |
| Restricted share unit | | |
| Number of units granted | 123,965 | 208,143 |
| Weighted average fair value | $5.81 | $4.84 |

The BP group operates a number of equity-settled employee share plans under which share units are granted to the group's senior leaders and certain other employees. These plans typically have a three-year performance or restricted period during which the units accrue net notional dividends which are treated as having been reinvested. Leaving employment will normally preclude the conversion of units into shares, but special arrangements apply for participants that leave for qualifying reasons. The number of shares that are expected to vest each year under employee share plans are shown in the table below.

| Share Plan Vesting (Number of Shares) | As at December 31, 2025 | As at December 31, 2024 |
|---|---|---|
| Within one year | 163,460 | 1,843,108 |
| 1 to 2 years | 343,828 | 159,893 |
| 2 to 3 years | - | 140,445 |
| **Total** | **507,288** | **2,143,446** |

## 32. Capital management

For the purpose of the Company's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders. The primary objective of the Company capital management is to maximize the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. The Company monitors capital using a gearing ratio and is measured by net debt divided by total capital plus net debt. The Company includes within net debt trade and other payables, less cash and cash equivalents. The Company did not have any borrowings at any time during the year.

| Particulars | As at December 31, 2025 (₹ in Crore) | As at December 31, 2024 (₹ in Crore) |
|---|---|---|
| Trade payables | 786.05 | 703.65 |
| Other payables | 708.50 | 653.27 |
| Less: Cash and cash equivalents | (426.62) | (452.87) |
| **Net debt** | **1,067.93** | **904.05** |
| Total equity | 1,900.30 | 2,278.37 |
| Total equity and net debt | 2,968.23 | 3,182.42 |
| **Gearing ratio** | **36%** | **28%** |





Notes to the Financial Statements

for the year ended December 31, 2025

## 33. Financial ratios

| Particulars | Numerator/ Denominator | For the year ended December 31, 2025 | For the year ended December 31, 2024 | Variance (%) |
|---|---|---|---|---|
| Current Ratio (in times) : | Current Assets / Current Liabilities | 1.66 | 2.02 | -18% |
| Return on Equity Ratio(%) : | Net profit after tax / Average Net worth | 45% | 42% | 7% |
| Inventory Turnover (no. of days) : | Average Inventory/ Cost of goods sold *365 | 66.92 | 70.73 | -5% |
| Debtors Turnover (no. of days) : | Average Trade Receivables / Revenue from operations *365 | 29.06 | 29.27 | -1% |
| Payables Turnover (no. of days) : | Average Trade payables / Cost of goods sold *365 | 93.13 | 94.34 | -1% |
| Net Capital Turnover # (in times) : | Revenue from operations / Working Capital | 6.11 | 4.15 | 47% |
| Net Profit Margin (%) : | Net profit for the year after tax/ Net Sales | 17% | 17% | - |
| Return on Capital Employed (%) : | Earning before Interest and Tax / Capital Employed | 67% | 55% | 22% |
| Debt Service Coverage Ratio*## (in times) : | Earnings available to service debt / Debt Service | 40.13 | 39.88 | 1% |
| Return on Investment (%) : | Interest Income / Average investment + Fixed Deposits | 3.30% | 4.35% | -24% |

Debt Equity is not applicable

*Finance cost on Lease Liabilities is considered as Debt service cost for calculation of this ratio

# The increase in net capital turnover is due to higher dividend payout in current year for the year ended December 31, 2024

## Debt equity ratio are not applicable to the Company since there are no borrowings. The finance cost in the financial statements relates to leases (IND AS 116).

## 34. Exceptional item : statutory impact of new labour codes

The Government of India notified the four Labour Codes ('New Labour Codes') effective November 21, 2025. The Ministry of Labour & Employment has also issued draft Central Rules and FAQS to help assess the financial impact of these changes. The Company has ascertained its estimated obligations under the New Labour Codes based on actuarial valuation, best estimates and consistent with guidance provided by the Institute of Chartered Accountants of India. Considering the regulatory-driven and non-recurring nature of this impact, the Company has recognised incremental estimated obligations aggregating to ₹ 22.53 Crore as an exceptional item on account of employees past services in the financial statement for the year ended December 31, 2025. The Company continues to monitor the finalisation of Central / State Rules and clarifications from the Government on other aspects of the New Labour Codes and would recognise the impact of change in the estimate in that period, as needed.

**35.** In December 2025, bp plc (Ultimate Holding Company) announced that it has agreed to sell a 65% shareholding in Castrol's global lubricants business to Stonepeak, at an enterprise value of approximately USD 10 billion subject to legal clearances. Under the terms of the agreement, ultimate holding company will retain a 35% minority interest in the business and expects to complete the transaction by the end of 2026, subject to customary approvals. Pursuant to that, the above announcement does not have any impact on the financial statement of the company for the year ended December 31, 2025.

# Notes to the Financial Statements

for the year ended December 31, 2025

## 36. Other statutory information

**a) Disclosure of transactions with struck off companies**

| Name of the struck off company | Nature of transactions with struck off company | Balance outstanding as at December 31, 2025 ₹ in Crore | Balance outstanding as at December 31, 2024 ₹ in Crore | Relationship with the struck off company, if any |
|---|---|---|---|---|
| Josh Mining & Infracon Pvt Ltd | Receivables | 0.05 | 0.05 | Customer |
| Premier Inspection & Certification# | Payables | * | * | Vendors |
| Jet Petro India Pvt. Ltd | Payables | * | * | Vendors |
| Shibaco Engineers (P) Ltd | Payables | - | 0.06 | Vendors |

* Amounts are less than the denomination disclosed

| Name of the struck off company | Nature of transactions with struck off company | Number of shares held as at December 31, 2025 | Balance outstanding as at December 31, 2025 in ₹ | Relationship with the struck off company, if any |
|---|---|---|---|---|
| Pegasus Mercantile Pvt Ltd | Share held by struck off company | 500 | 2,500 | Shareholders |
| Unicon Fincap Private Limited | | 1,200 | 6,000 | |
| Prananjali Inv&Trading Company Pvt Ltd | | 1,600 | 8,000 | |
| Badri Sarraf Fin & Mutual Benefit Co Ltd | | 3,520 | 17,600 | |
| Krishna Transport P Limited | | 4,840 | 24,200 | |
| Popular Stock & Share Services Ltd | | 5,600 | 28,000 | |

| Name of the struck off company | Nature of transactions with struck off company | Number of shares held as at December 31, 2024 | Balance outstanding as at December 31, 2024 in ₹ | Relationship with the struck off company, if any |
|---|---|---|---|---|
| Kothari Intergroup Ltd.## | Share held by Struck off company | 4 | 20 | Shareholders |
| Tradeshare Financial Services Pvt Ltd## | | 20 | 100 | |
| Shasan Projects India Ltd## | | 64 | 320 | |
| M/S V Dinesh Traders Ltd## | | 36 | 180 | |
| Dbn Securities Pvt Ltd## | | 100 | 500 | |
| Signet Investments Pvt Ltd## | | 164 | 820 | |
| Pegasus Mercantile Pvt Ltd | | 500 | 2,500 | |
| Clive Street Nominees Pvt Ltd## | | 540 | 2,700 | |
| Balaji Yarn Ltd## | | 904 | 4,520 | |
| Hillworth Capital & Mkt P Ltd## | | 960 | 4,800 | |
| Unicon Fincap Private Limited | | 1,200 | 6,000 | |
| Prananjali Inv&Trading Company Pvt Ltd | | 1,600 | 8,000 | |
| Badri Sarraf Fin & Mutual Benefit Co Ltd | | 3,520 | 17,600 | |
| Krishna Transport P Limited | | 4,840 | 24,200 | |
| Popular Stock & Share Services Ltd | | 5,600 | 28,000 | |

# The above mentioned companies are identified as struck-off in current year and previous year balances are given for the purpose of comparison.

## The above mentioned companies are identified as struck-off in previous year and are not shareholders in current year, hence there is no corresponding balance in current year.

None of the above mentioned struck off companies is a related party of the Company.





# Notes to the Financial Statements

for the year ended December 31, 2025

## 36. Other statutory information *(Contd.)*

**b) Title deeds of Immovable Property not held in name of the Company**

| Relevant line in the Balance Sheet | Description of the property | Gross carrying value ₹ in Crore | Title deed name held in the name of | Whether the deed holder is a Promoter, Director or relative of the Promoters*/ Director or employee of the Promoter/ Director | Property held since which date | Reasons for not being held in the name of company |
|---|---|---|---|---|---|---|
| **As at December 31,2025** | | | | | | |
| PPE | Land | 0.01 | Indrol Lubricants Specialitites Ltd. | NA | Since 1988 | The deed of conveyance is in the ernstwhile name of the company and it has filed an application for Mutation of the name |
| **As at December 31,2024** | | | | | | |
| PPE | Land | 0.01 | Indrol Lubricants Specialitites Ltd. | NA | Since 1988 | The deed of conveyance is in the ernstwhile name of the company and it has filed an application for Mutation of the name |

**c)** The Company does not have any Benami property, where any proceeding has been initiated or pending against the Company for holding any Benami property.

**d)** The Company has not traded or invested in crypto currency or virtual currency during the financial year

**e)** The Company is not declared wilful defaulter by any bank or financial institution or lender during the year.

**f)** The Company does not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.

**g)** The Company has not granted any loans or advances in the nature of loans to promoters, directors, KMPs and the related parties (as defined under the Companies Act, 2013), either severally or jointly with any other person, except as disclosed in Note no. 4.1 of the financial statements.

**h)** The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall : (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (ultimate beneficiaries) or (b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries

**i)** The Company has not received any fund from any person(s) or entity(ies), including foreign entities (funding party) with the understanding (whether recorded in writing or otherwise) that the Company shall : (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the funding party (ultimate beneficiaries) or (b) provide any guarantee, security or the like on behalf of the ultimate beneficiaries.